AU-C Section 220

Quality Management for an Engagement Conducted in Accordance With Generally Accepted Auditing Standards

(Supersedes SAS No. 122.)

Source: SAS No. 146; SAS No. 149.

Effective for engagements conducted in accordance with generally accepted auditing standards for periods beginning on or after December 15, 2025.

Introduction

Scope of This Section

.01 This section addresses the specific responsibilities of the auditor regarding quality management at the engagement level for an audit of financial statements and the related responsibilities of the engagement partner. This section also applies, adapted as necessary, to other engagements conducted in accordance with generally accepted auditing standards (GAAS) (for example, a review of interim financial information conducted in accordance with section 930, *Interim Financial Information*). This section is to be read in conjunction with the AICPA Code of Professional Conduct (AICPA code) and other relevant ethical requirements. (Ref: par. .A1 and .A40)

.02 Although government audit organizations are subject to the quality control and assurance requirements of *Government Auditing Standards*, and Statements on Quality Management Standards (SQMSs) are not applicable to auditors in government audit organizations,[1] this section is applicable to auditors in government audit organizations who perform financial audits in accordance with GAAS.

The Firm's System of Quality Management and the Role of Engagement Teams

.03 Under SQMS No. 1, *A Firm's System of Quality Management* (QM sec. 10), the objective of the firm is to design, implement, and operate a system of quality management for engagements performed by the firm in its accounting and auditing practice that provides the firm with reasonable assurance that (Ref: par. .A2–.A3)

[1] Paragraph 5 of Statement on Quality Management Standards (SQMS) No. 1, *A Firm's System of Quality Management* (QM sec. 10).

a. the firm and its personnel fulfill their responsibilities in accordance with professional standards and applicable legal and regulatory requirements and conduct engagements in accordance with such standards and requirements, and

b. engagement reports issued by the firm are appropriate in the circumstances.[2]

.04 The engagement team, led by the engagement partner, is responsible, within the context of the firm's system of quality management and through complying with the requirements of this section, for the following: (Ref: par. .A4–.A11)

a. Implementing the firm's responses to quality risks (that is, the firm's policies or procedures) that are applicable to the audit engagement using information communicated by, or obtained from, the firm

b. Given the nature and circumstances of the audit engagement, determining whether to design and implement responses at the engagement level beyond those in the firm's policies or procedures

c. Communicating to the firm information from the audit engagement that is required by the firm's policies or procedures to be communicated to support the design, implementation, and operation of the firm's system of quality management

.05 Complying with the requirements in other AU-C sections may provide information that is relevant to quality management at the engagement level. (Ref: par. .A12)

.06 The public interest is served by the consistent performance of quality audit engagements that achieve the objective of this section and other AU-C sections. A quality audit engagement is achieved through planning and performing the engagement and reporting on it in accordance with professional standards and applicable legal and regulatory requirements. Achieving the objectives of those standards and complying with the requirements of applicable law or regulation involves exercising professional judgment and maintaining professional skepticism.

.07 In accordance with section 200, *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance With Generally Accepted Auditing Standards*,[3] the engagement team is required to plan and perform an audit with professional skepticism and to exercise professional judgment. Professional judgment is exercised in making informed decisions about the courses of action that are appropriate to manage and achieve quality given the nature and circumstances of the audit engagement. Professional skepticism supports the quality of judgments made by the engagement team and, through these judgments, supports the overall effectiveness of the engagement team in achieving quality at the engagement level. The appropriate maintenance of professional skepticism may be demonstrated through the actions and communications of the engagement team. Such actions and communications may include specific steps to mitigate impediments that may

[2] Paragraph 15 of SQMS No. 1.

[3] Paragraphs .17–.18 and .A22–.A31 of section 200, *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance With Generally Accepted Auditing Standards*.

impair the appropriate maintenance of professional skepticism, such as unconscious bias or resource constraints. (Ref: par. .A35–.A38)

Scalability

.08 The requirements of this section are intended to be applied in the context of the nature and circumstances of each audit. Examples follow:

- When an audit is carried out entirely by the engagement partner, which may be the case for an audit of a less complex entity, some requirements in this section are not relevant because they are conditional on the involvement of other members of the engagement team. (Ref: par. .A13–.A14)
- When an audit is not carried out entirely by the engagement partner, or in an audit of an entity whose nature and circumstances are more complex, the engagement partner may assign the design or performance of some procedures, tasks, or actions to other members of the engagement team.

The Engagement Partner's Responsibilities

.09 The engagement partner remains ultimately responsible and, therefore, accountable for compliance with the requirements of this section. Nevertheless, the engagement partner may seek assistance from others to fulfill these responsibilities. The phrase "take responsibility for..." is used for those requirements for which the engagement partner is permitted to assign the design or performance of procedures, tasks, or actions to appropriately skilled or suitably experienced members of the engagement team. For other requirements, this section expressly intends that the requirement or responsibility be fulfilled by the engagement partner. In such circumstances, the engagement partner may need to obtain information from the firm or other members of the engagement team. For example, when others perform supervisory and review activities, the outcomes of those activities can be taken into account by the engagement partner in fulfilling these responsibilities. (Ref: par. .A24–.A27)

Effective Date

.10 This section is effective for engagements conducted in accordance with GAAS for periods beginning on or after December 15, 2025.

Objective

.11 The objective of the auditor is to manage quality at the engagement level to obtain reasonable assurance that quality has been achieved such that

a. the auditor has fulfilled the auditor's responsibilities, and has conducted the audit, in accordance with professional standards and applicable legal and regulatory requirements, and

b. the auditor's report issued is appropriate in the circumstances.

Definitions

.12 For purposes of GAAS, the following terms have the meanings attributed as follows:

Engagement partner.[4] The partner or other individual appointed by the firm who is responsible for the audit engagement and its performance, and for the auditor's report that is issued on behalf of the firm, and who, when required, has the appropriate authority from a professional, legal, or regulatory body. *Engagement partner*, *partner*, and *firm* refer to their governmental equivalents when relevant.

Engagement quality review. An objective evaluation of the significant judgments made by the engagement team and the conclusions reached thereon, performed by the engagement quality reviewer and completed before the engagement report is released.

Engagement quality reviewer. A partner, other individual in the firm, or an external individual appointed by the firm to perform the engagement quality review.

Engagement team. All partners and staff performing the audit engagement and any other individuals who perform audit procedures on the engagement, excluding an auditor's external specialist[5] and internal auditors who provide direct assistance on an engagement.[6] (Ref: par. .A15–.A27)

Firm. A form of organization permitted by law or regulation whose characteristics conform to resolutions of the Council of the AICPA and that is engaged in public practice. (Ref: par. .A28)

Inspection. Inspection is an evaluation of the adequacy of aspects of the firm's quality management policies and procedures, its personnel's understanding of those policies and procedures, and the extent of the firm's compliance with them.

Network. As defined in "Definitions" (ET sec. 0.400) in the AICPA code, an association of entities that includes one or more firms. (Ref: par. .A29)

Network firm. As defined in "Definitions" in the AICPA code, a firm or other entity that belongs to a network. References to a *network firm* are to be read hereafter as "another firm or entity that belongs to the same network as the firm." (Ref: par. .A29)

Partner. Any individual with authority to bind the firm with respect to the performance of a professional services engagement. For purposes of this definition, *partner* may include an employee with this authority who has not assumed the risks and benefits of ownership. Firms might use different titles to refer to individuals with this authority.

Personnel. Partners and staff in the firm.

Professional standards. Standards promulgated by the AICPA Auditing Standards Board or the AICPA Accounting and Review Services Committee under the "General Standards

[4][Footnote deleted, February 2024.]

[5] Paragraph .06 of section 620, *Using the Work of an Auditor's Specialist*, defines the term *auditor's specialist*.

[6] Section 610, *Using the Work of Internal Auditors*, establishes limits on the use of direct assistance.

Rule" (ET sec. 1.300.001) or the "Compliance With Standards Rule" (ET sec. 1.310.001) of the AICPA code, or by other standard-setting bodies that set auditing and attest standards applicable to the engagement being performed and relevant ethical requirements.

Relevant ethical requirements. Principles of professional ethics and ethical requirements to which the engagement team and engagement quality reviewer are subject, which consist of the AICPA code together with rules of applicable state boards of accountancy and applicable regulatory agencies that are more restrictive.

Response (in relation to a system of quality management). Policies or procedures designed and implemented by the firm to address one or more quality risks.

- Policies are statements of what should, or should not, be done to address a quality risk or risks. Such statements may be documented, explicitly stated in communications, or implied through actions and decisions.
- Procedures are actions to implement policies.

Staff. Professionals, other than partners, including any specialist the firm employs.

Requirements

Leadership Responsibilities for Managing and Achieving Quality on Audits

.13 The engagement partner should take overall responsibility for managing and achieving quality on the audit engagement, including taking responsibility for creating an environment for the engagement that emphasizes the firm's culture and expected behavior of engagement team members. In doing so, the engagement partner should be sufficiently and appropriately involved throughout the audit engagement such that the engagement partner has the basis for determining whether the significant judgments made, and the conclusions reached, are appropriate given the nature and circumstances of the engagement. (Ref: par. .A30–.A39)

.14 In creating the environment described in paragraph .13, the engagement partner should take responsibility for clear, consistent, and effective actions being taken that reflect the firm's commitment to quality and that establish and communicate the expected behavior of engagement team members, including emphasizing the following: (Ref: par. .A32–.A36)

a. That all engagement team members are responsible for contributing to the management and achievement of quality at the engagement level

b. The importance of professional ethics, values, and attitudes to the members of the engagement team

c. The importance of open and robust communication within the engagement team and supporting the ability of engagement team members to raise concerns without fear of reprisal

d. The importance of each engagement team member maintaining professional skepticism throughout the audit engagement

.15 If the engagement partner assigns the design or performance of procedures, tasks, or actions related to a requirement of this section to other members of the engagement team to assist the engagement partner in complying with the requirements of this section, the engagement partner should continue to take overall responsibility for managing and achieving quality on the audit engagement through direction and supervision of those members of the engagement team and review of their work. (Ref: par. .09 and .A39)

Relevant Ethical Requirements, Including Those Related to Independence

.16 The engagement partner should have an understanding of the relevant ethical requirements, including those related to independence, that are applicable given the nature and circumstances of the audit engagement. (Ref: par. .A40–.A44 and .A50)

.17 The engagement partner should take responsibility for other members of the engagement team having been made aware of relevant ethical requirements that are applicable given the nature and circumstances of the audit engagement, and the firm's related policies or procedures, including those that address the following: (Ref: par. .A25–.A27 and .A42–.A46)

a. Identifying, evaluating, and addressing threats to compliance with relevant ethical requirements, including those related to independence

b. Circumstances that may cause a breach of relevant ethical requirements, including those related to independence, and the responsibilities of members of the engagement team when they become aware of breaches

c. The responsibilities of members of the engagement team when they become aware of an instance of noncompliance with laws and regulations by the entity[7]

.18 If matters come to the engagement partner's attention that indicate that a threat to compliance with relevant ethical requirements exists, the engagement partner should evaluate the threats by complying with the firm's policies or procedures, using relevant information from the firm, the engagement team, or other sources, and take appropriate action. (Ref: par. .A45–.A46)

.19 The engagement partner should remain alert throughout the audit engagement, through observation and making inquiries as necessary, for breaches of relevant ethical requirements or the firm's related policies or procedures by members of the engagement team. (Ref: par. .A47)

.20 If matters come to the engagement partner's attention through the firm's system of quality management, or from other sources, that indicate that relevant ethical requirements applicable to the nature and circumstances of the audit engagement have not been fulfilled,

[7] See section 250, *Consideration of Laws and Regulations in an Audit of Financial Statements.*

the engagement partner, in consultation with others in the firm, should take appropriate action. (Ref: par. .A48)

.21 Prior to dating the auditor's report, the engagement partner should take responsibility for determining whether relevant ethical requirements, including those related to independence, have been fulfilled. (Ref: par. .A40 and .A49)

Acceptance and Continuance of Client Relationships and Audit Engagements

.22 The engagement partner should determine that the firm's policies or procedures for the acceptance and continuance of client relationships and audit engagements have been followed and that conclusions reached in this regard are appropriate. (Ref: par. .A51–.A54 and .A60)

.23 The engagement partner should take into account information obtained in the acceptance and continuance process in planning and performing the audit engagement in accordance with GAAS and complying with the requirements of this section. (Ref: par. .A55–.A58)

.24 If the engagement team becomes aware of information that may have caused the firm to decline the audit engagement had that information been known by the firm prior to accepting or continuing the client relationship or specific engagement, the engagement partner should communicate that information promptly to the firm so that the firm and the engagement partner can take the necessary action. (Ref: par. .A59)

Engagement Resources

.25 The engagement partner should determine that sufficient and appropriate resources to perform the engagement are assigned or made available to the engagement team in a timely manner, taking into account the nature and circumstances of the audit engagement, the firm's policies or procedures, and any changes that may arise during the engagement. (Ref: par. .A61–.A73, .A76–.A77, and .A82)

.26 The engagement partner should determine that members of the engagement team, and any auditor's external specialists and internal auditors who provide direct assistance who are not part of the engagement team, collectively have the appropriate competence and capabilities, including sufficient time, to perform the audit engagement. (Ref: par. .A64 and .A74–.A77)

.27 If, as a result of complying with the requirements in paragraphs .25–.26, the engagement partner determines that resources assigned or made available are insufficient or inappropriate in the circumstances of the audit engagement, the engagement partner should take appropriate action, including communicating with appropriate individuals about the need to assign or make available additional or alternative resources to the engagement. (Ref: par. .A78–.A81)

.28 The engagement partner should take responsibility for using the resources assigned or made available to the engagement team appropriately, given the nature and circumstances of the audit engagement. (Ref: par. .A65–.A71)

Engagement Performance

Direction, Supervision, and Review

.29 The engagement partner should take responsibility for the direction and supervision of the members of the engagement team and the review of their work. (Ref: par. .A83)

.30 The engagement partner should determine that the nature, timing, and extent of direction, supervision, and review are (Ref: par. .A84–.A92 and .A97–.A100)

a. planned[8] and performed in accordance with the firm's policies or procedures, professional standards, and applicable legal and regulatory requirements, and

b. responsive to the nature and circumstances of the audit engagement and the resources assigned or made available to the engagement team by the firm.

.31 The engagement partner should review audit documentation at appropriate points in time during the audit engagement, including audit documentation relating to (Ref: par. .A93–.A96)

a. significant matters;[9]

b. significant judgments, including those relating to difficult or contentious matters identified during the audit engagement, and the conclusions reached; and

c. other matters that, in the engagement partner's professional judgment, are relevant to the engagement partner's responsibilities.

.32 On or before the date of the auditor's report, the engagement partner should determine, through review of audit documentation and discussion with the engagement team, that sufficient appropriate audit evidence has been obtained to support the conclusions reached and for the auditor's report to be issued. (Ref: par. .A93–.A97)

.33 Prior to dating the auditor's report, the engagement partner should review the financial statements and the auditor's report, including, if applicable, the description of the key audit matters[10] and related audit documentation, to determine that the report to be issued will be appropriate in the circumstances.[11]

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[8] Paragraph .11 of section 300, *Planning an Audit.*

[9] Paragraph .08 of section 230, *Audit Documentation.*

[10] See section 701, *Communicating Key Audit Matters in the Auditor's Report.*

[11] See section 700, *Forming an Opinion and Reporting on Financial Statements*, or section 705, *Modifications to the Opinion in the Independent Auditor's Report.*

.34 The engagement partner should review, prior to their issuance, formal written communications to management, those charged with governance, or regulatory authorities. (Ref: par. .A101)

Consultation

.35 The engagement partner should do the following: (Ref: par. .A102–.A105)

a. Take responsibility for the engagement team undertaking consultation on
    i. difficult or contentious matters and matters on which the firm's policies or procedures require consultation and
    ii. other matters that, in the engagement partner's professional judgment, require consultation.
b. Determine that members of the engagement team have undertaken appropriate consultation during the audit engagement, both within the engagement team and between the engagement team and others at the appropriate level within or outside the firm.
c. Determine that the nature and scope of, and conclusions resulting from, such consultations are agreed with the party consulted.
d. Determine that conclusions agreed have been implemented.

Engagement Quality Review

.36 For audit engagements for which an engagement quality review is required, the engagement partner should (Ref: par. .A106)

a. determine that an engagement quality reviewer has been appointed.
b. cooperate with the engagement quality reviewer and inform other members of the engagement team of their responsibility to do so.
c. discuss significant matters and significant judgments arising during the audit engagement, including those identified during the engagement quality review, with the engagement quality reviewer.
d. not release the auditor's report until the completion of the engagement quality review. (Ref: par. .A107–.A109)

Differences of Opinion

.37 If differences of opinion arise within the engagement team, or between the engagement team and the engagement quality reviewer or individuals performing activities within the firm's system of quality management, including those who provide consultation, the engagement team should follow the firm's policies or procedures for dealing with and resolving such differences of opinion. (Ref: par. .A110–.A111)

.38 The engagement partner should

a. take responsibility for differences of opinion being addressed and resolved in accordance with the firm's policies or procedures.

b. determine that conclusions reached are documented and implemented.

c. not date the auditor's report until any differences of opinion are resolved.

Monitoring and Remediation

.39 The engagement partner should take responsibility for the following: (Ref: par. .A112–.A115)

a. Obtaining an understanding of the information from the firm's monitoring and remediation process, as communicated by the firm, including, as applicable, the information from the monitoring and remediation process of the network and across the network firms

b. Determining the relevance and effect on the audit engagement of the information referred to in paragraph .39*a* and taking appropriate action

c. Remaining alert throughout the audit engagement for information that may be relevant to the firm's monitoring and remediation process and communicating such information to those responsible for the process

Taking Overall Responsibility for Managing and Achieving Quality

.40 Prior to dating the auditor's report, the engagement partner should determine that the engagement partner has taken overall responsibility for managing and achieving quality on the audit engagement. In doing so, the engagement partner should determine that (Ref: par. .A116–.A119)

a. the engagement partner's involvement has been sufficient and appropriate throughout the audit engagement such that the engagement partner has the basis for determining that the significant judgments made and the conclusions reached are appropriate given the nature and circumstances of the engagement.

b. the nature and circumstances of the audit engagement, any changes thereto, and the firm's related policies or procedures have been taken into account in complying with the requirements of this section.

Documentation

.41 In applying section 230, *Audit Documentation*, the auditor should include the following in the audit documentation:[12] (Ref: par. .A120–.A123)

a. Significant issues identified, relevant discussions with personnel, and conclusions reached with respect to

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[12] Paragraphs .08–.11 of section 230.

i. fulfillment of responsibilities relating to relevant ethical requirements, including those related to independence

ii. the acceptance and continuance of the client relationship and audit engagement

b. The nature and scope of, and conclusions resulting from, consultations undertaken during the audit engagement and how such conclusions were implemented

c. If the audit engagement is subject to an engagement quality review, that the engagement quality review has been completed before the release of the auditor's report

Application and Other Explanatory Material

Scope of This Section (Ref: par. .01)

.A1 This section applies to all audits of financial statements, including audits of group financial statements. Statement on Auditing Standards (SAS) No. 149, *Special Considerations — Audits of Group Financial Statements (Including the Work of Component Auditors and Audits of Referred-to Auditors)* (sec. 600), addresses special considerations that apply to an audit of group financial statements, including when component auditors are involved or when the group auditor makes reference to the audit of a referred-to auditor. SAS No. 149 also provides guidance on how to adapt and apply the requirements of this section in an audit of group financial statements involving component auditors. SAS No. 149, adapted as necessary in the circumstances, may also be useful in an audit of financial statements when the engagement team includes individuals from another firm. For example, SAS No. 149 may be useful when involving such an individual to attend a physical inventory count; inspect property, plant, and equipment; or perform audit procedures at a shared service center at a remote location. [As amended, effective for engagements conducted in accordance with generally accepted auditing standards for periods beginning on or after December 15, 2025, by SAS No. 149.]

The Firm's System of Quality Management and the Role of Engagement Teams (Ref: par. .03–.09)

.A2 SQMS No. 1 addresses a firm's responsibilities for designing, implementing, and operating its system of quality management.

.A3 Firms may use different terminology or frameworks to describe the components of the system of quality management.

The Engagement Team's Responsibilities Relating to the Firm's System of Quality Management (Ref: par. .04)

.A4 Quality management at the engagement level is supported by the firm's system of quality management and informed by the specific nature and circumstances of the audit engagement. In accordance with SQMS No. 1, the firm is responsible for communicating information that enables the engagement team to understand and carry out their responsibilities relating to performing engagements. For example, such communications may cover policies or procedures to undertake consultations with designated individuals in certain situations involving complex technical or ethical matters or to involve firm-designated experts in specific engagements to perform audit procedures related to particular matters (for example, the firm may specify that firm-designated credit-risk modeling experts are to be involved in auditing expected credit loss allowances in audits of financial institutions).

.A5 Firm-level responses may include policies or procedures established by a network or by other firms, structures, or organizations within the same network (network requirements or network services are described further in SQMS No. 1 within the "Network Requirements or Network Services" section).[13] The requirements of this section are based on the premise that the firm is responsible for taking the necessary action to enable engagement teams to implement or use network requirements or network services on the audit engagement (for example, a requirement to use an audit methodology developed for use by a network firm). Under SQMS No. 1, the firm is responsible for determining how network requirements or network services are relevant to, and are taken into account in, the firm's system of quality management.[14]

.A6 Some firm-level responses to quality risks are not performed at the engagement level but are, nevertheless, relevant when complying with the requirements of this section. For example, firm-level responses that the engagement team may be able to depend on when complying with the requirements of this section include the following:

- Personnel recruitment and professional training processes
- The IT applications that support the firm's monitoring of independence
- The development of IT applications that support the acceptance and continuance of client relationships and audit engagements
- The development of audit methodologies and related implementation tools and guidance

.A7 Due to the specific nature and circumstances of each audit engagement and changes that may occur during the audit engagement, a firm cannot identify all quality risks that may arise at the engagement level or set forth all relevant and appropriate responses. Accordingly, the engagement team exercises professional judgment in determining whether to design and implement responses, beyond those set forth in the firm's policies or procedures, at the engagement level to meet the objective of this section.[15]

.A8 The engagement team's determination of whether engagement-level responses are necessary (and, if so, what those responses are) is influenced by the requirements of this

[13] Paragraph 50*b* of SQMS No. 1.

[14] Paragraph 50*a* of SQMS No. 1.

[15] Section 200 requires the auditor to exercise professional judgment in planning and performing an audit of financial statements.

section, the engagement team's understanding of the nature and circumstances of the engagement, and any changes during the audit engagement. For example, unanticipated circumstances may arise during the engagement that may cause the engagement partner to request the involvement of appropriately experienced personnel in addition to those initially assigned or made available by the firm.

.A9 The relative balance of the engagement team's efforts to comply with the requirements of this section (that is, between implementing the firm's responses and designing and implementing engagement-specific responses beyond those set forth in the firm's policies or procedures) may vary. For example, the firm may design an audit program to be used in circumstances that are applicable to the audit engagement (for example, an industry-specific audit program). Other than determining the timing and extent of procedures to be performed, there may be little or no need for supplemental audit procedures to be added to the audit program at the engagement level. Alternatively, the engagement team's actions in complying with the engagement performance requirements of this section may be more focused on designing and implementing responses at the engagement level to deal with the specific nature and circumstances of the engagement (for example, planning and performing procedures to address risks of material misstatement not contemplated by the firm's audit programs).

.A10 Ordinarily, the engagement team may depend on the firm's policies or procedures in complying with the requirements of this section, unless

- the engagement team's understanding or practical experience indicates that the firm's policies or procedures will not effectively address the nature and circumstances of the engagement, or
- information provided by the firm or other parties about the effectiveness of such policies or procedures suggests they cannot be relied on (for example, information provided by the firm's monitoring activities, external inspections, or other relevant sources indicates that the firm's policies or procedures are not operating effectively).

.A11 If the engagement partner becomes aware (including by being informed by other members of the engagement team) that the firm's responses to quality risks are ineffective in the context of the specific engagement, or the engagement partner is unable to depend on the firm's policies or procedures, the engagement partner communicates such information promptly to the firm in accordance with paragraph .39*c* because such information is relevant to the firm's monitoring and remediation process. For example, if an engagement team member identifies that an audit software program has a security weakness, timely communication of such information to the appropriate personnel enables the firm to take steps to update and reissue the audit program. See also paragraph .A72 in respect of sufficient and appropriate resources.

Information Relevant to Quality Management at the Engagement Level (Ref: par. .05)

.A12 Complying with the requirements in other AU-C sections may provide information that is relevant to quality management at the engagement level. For example, the understanding of the entity and its environment required to be obtained under section 315, *Understanding* *the Entity and Its Environment and Assessing the Risks of Material Misstatement*, provides information that may be relevant to complying with the requirements of this section. Such information may be relevant to the determination of one or more of the following:

- The nature of resources to deploy for specific audit areas, such as the use of appropriately experienced team members for high-risk areas or the involvement of experts to deal with complex matters
- The amount of resources to allocate to specific audit areas, such as the number of team members assigned to attend the physical inventory count at multiple locations
- The nature, timing, and extent of review of the work performed by members of the team based on the assessed risks of material misstatement
- The allocation of the budgeted audit hours, including allocating more time and the time of more experienced engagement team members to those areas where there are more risks of material misstatement or the identified risks are assessed as higher

Scalability (Ref: par. .08)

.A13 In a smaller firm, the firm's policies or procedures may designate an engagement partner or partners, on behalf of the firm, to design many of the responses to the firm's quality risks at the engagement level because doing so may be a more effective approach to designing and implementing responses as part of the firm's system of quality management. Additionally, a smaller firm's policies or procedures may be less formal. For example, in a very small firm with a relatively small number of audit engagements, the firm may determine that there is no need to establish a firm-wide system to monitor independence and, rather, independence will be monitored at the individual engagement level by the engagement partner.

.A14 The requirements relating to direction, supervision, and review of the work of other members of the engagement team are only relevant if there are members of the engagement team other than the engagement partner.

Definitions

Engagement Team (Ref: par. .12)

.A15 The engagement team may be organized in a variety of ways. For example, engagement team members may be located together or across different geographic locations and may be organized in groups by the activity they are performing. Regardless of how the engagement team is organized, any individual who performs audit procedures[16] on the audit engagement, excluding an auditor's external specialist[17] and internal auditors who provide direct assistance on an engagement,[18] is a member of the engagement team.

[16] Paragraph .A44 of section 500, *Audit Evidence*.

[17] Paragraph .06 of section 620 defines the term *auditor's specialist*.

[18] Section 610 establishes limits on the use of direct assistance.

.A16 The definition of an *engagement team* focuses on individuals who perform audit procedures on the audit engagement. *Audit evidence*, which is necessary to support the auditor's opinion and report, is primarily obtained from audit procedures performed during the course of the audit.[19] Audit procedures comprise risk assessment procedures[20] and further audit procedures.[21] As explained in section 500, *Audit Evidence*, audit procedures may include inspection, observation, confirmation, recalculation, reperformance, analytical procedures, and inquiry, often performed in some combination.[22] Other AU-C sections may also include specific procedures to obtain audit evidence, for example, section 520, *Analytical Procedures*.

.A17 Engagement teams include personnel and may also include other individuals who perform audit procedures who are from

- a network firm, or
- a firm that is not a network firm or another service provider.[23]

For example, an individual from another firm may perform audit procedures on the financial information of a component in a group audit engagement, attend a physical inventory count, or inspect physical fixed assets at a remote location.

.A18 Engagement teams may also include individuals from service delivery centers who perform audit procedures. For example, it may be determined that specific tasks that are repetitive or specialized in nature will be performed by a group of appropriately skilled personnel; thus, the engagement team includes such individuals. Service delivery centers may be established by the firm, the network, or by other firms, structures, or organizations within the same network. For example, a centralized function may be used to facilitate external confirmation procedures.

.A19 Engagement teams may include individuals with expertise in a specialized area of accounting or auditing who perform audit procedures on the audit engagement, for example, individuals with expertise in accounting for income taxes or in analyzing complex information produced by automated tools and techniques for the purpose of identifying unusual or unexpected relationships. An individual is not a member of the engagement team if that individual's involvement with the engagement is limited to consultation. Consultations are addressed in paragraphs .35 and .A102–.A105.

.A20 If the audit engagement is subject to an engagement quality review, the engagement quality reviewer, and any other individuals performing the engagement quality review, are

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[19] Paragraph .A32 of section 200.

[20] Section 315, *Understanding the Entity and Its Environment and Assessing the Risks of Material Misstatement*, provides requirements related to risk assessment procedures.

[21] Section 330, *Performing Audit Procedures in Response to Assessed Risks and Evaluating the Audit Evidence Obtained*, provides requirements related to further audit procedures, including tests of controls and substantive procedures.

[22] Paragraph .A43 of section 500.

[23] Paragraph 17 of SQMS No. 1.

not members of the engagement team. However, such individuals are subject to the same relevant ethical requirements as members of the engagement team, including independence.

.A21 An internal auditor providing direct assistance and an auditor's external specialist whose work is used in the engagement are not members of the engagement team.[24] Section 610, *Using the Work of Internal Auditors*, and section 620, *Using the Work of an Auditor's Specialist*, provide requirements and guidance for the auditor when using the work of internal auditors in a direct assistance capacity or when using the work of an external specialist, respectively. Compliance with these AU-C sections requires the auditor to obtain sufficient appropriate audit evidence on the work performed by an internal auditor who is providing direct assistance and perform audit procedures on the work of an auditor's specialist.

.A22 When joint auditors conduct an audit, the joint engagement partners and their engagement teams collectively constitute the "engagement partner" and "engagement team" for purposes of GAAS. This section does not, however, deal with the relationship between joint auditors or the work that one joint auditor performs in relation to the work of the other joint auditor. [Paragraph added, effective for engagements conducted in accordance with generally accepted auditing standards for periods beginning on or after December 15, 2025, by SAS No. 149.]

.A23 Referred-to auditors are not members of the engagement team. Referred-to auditors are not component auditors.[25] [Paragraph added, effective for engagements conducted in accordance with generally accepted auditing standards for periods beginning on or after December 15, 2025, by SAS No. 149.]

The Engagement Partner's Responsibilities (Ref: par. .09 and .12)

.A24 When this section expressly intends that a requirement or responsibility be fulfilled by the engagement partner, the engagement partner may need to obtain information from the firm or other members of the engagement team to fulfill the requirement (for example, information to make the required decision or judgment). For example, the engagement partner is required to determine that members of the engagement team collectively have the appropriate competence and capabilities to perform the audit engagement. To make a judgment on whether the competence and capabilities of the engagement team are appropriate, the engagement partner may need to use information compiled by the engagement team or from the firm's system of quality management. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

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[24] See paragraphs .12–.13 of section 620 and paragraphs .20–.24 of section 610.

[25] Paragraph 16 of Statement on Auditing Standards (SAS) No. 149, *Special Considerations — Audits of Group Financial Statements (Including the Work of Component Auditors and Audits of Referred-to Auditors)* (sec. 600). [Footnote added, effective for engagements conducted in accordance with generally accepted auditing standards for periods beginning on or after December 15, 2025, by SAS No. 149.]

The Application of Firm Policies or Procedures by Members of the Engagement Team (Ref: par. .08 and .17)

.A25 Within the context of the firm's system of quality management, engagement team members from the firm are responsible for implementing the firm's policies or procedures that are applicable to the audit engagement. Engagement team members from another firm are neither partners nor staff of the engagement partner's firm. As such, they may not be subject to the firm's system of quality management or the firm's policies or procedures. Further, the policies or procedures of another firm may not be similar to those of the engagement partner's firm. For example, policies or procedures regarding direction, supervision, and review may be different, particularly when the other firm is in a jurisdiction with a different legal system, language, or culture than that of the engagement partner's firm. Accordingly, when the engagement team includes individuals who are from another firm, different actions may need to be taken by the firm or the engagement partner to implement the firm's policies or procedures with respect to the work of those individuals. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A26 In particular, the firm's policies or procedures may require the firm or the engagement partner to take different actions from those applicable to personnel when obtaining an understanding of whether an individual from another firm

- has the appropriate competence and capabilities to perform the audit engagement. For example, the individual would not be subject to the firm's recruitment and training processes, and therefore, the firm's policies or procedures may state that this determination can be made through other actions such as obtaining information from the other firm or a licensing or oversight body. SAS No. 149[26] contains guidance on obtaining an understanding of the competence and capabilities of component auditors.
- understands the ethical requirements that are relevant to the group audit engagement. For example, the individual would not be subject to the firm's training with regard to the firm's policies or procedures for relevant ethical requirements. The firm's policies or procedures may state that this understanding is obtained through other actions such as providing information, manuals, or guides containing the provisions of the relevant ethical requirements applicable to the audit engagement to the individual.
- will confirm independence. For example, individuals who are not personnel may not be able to complete independence declarations directly on the firm's independence systems. The firm's policies or procedures may state that such individuals can provide evidence of their independence in relation to the audit engagement in other ways, such as through written confirmation.

[Paragraph renumbered and amended, effective for engagements conducted in accordance with generally accepted auditing standards for periods beginning on or after December 15, 2025, by SAS No. 149.]

[26] Paragraphs 28 and A72–A76 of SAS No. 149. [Footnote added, effective for engagements conducted in accordance with generally accepted auditing standards for periods beginning on or after December 15, 2025, by SAS No. 149.]

.A27 When firm policies or procedures require specific activities to be undertaken in certain circumstances (for example, consultation on a particular matter), it may be necessary to communicate with individuals who are not personnel about what is expected of them to enable the engagement partner to comply with the firm's policies or procedures. For example, in a group audit engagement, communicating the group auditor's policies and procedures about matters subject to consultation to a component auditor enables the component auditor to determine which identified difficult or contentious matters that are relevant to the group financial statements to bring to the attention of the group auditor. [Paragraph renumbered and amended, effective for engagements conducted in accordance with generally accepted auditing standards for periods beginning on or after December 15, 2025, by SAS No. 149.]

Firm (Ref: par. .12)

.A28 The definition of *firm* in relevant ethical requirements may differ from the definition set out in this section. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

"Network" and "Network Firm" (Ref: par. .12)

.A29 The definitions of *network* or *network firm* in relevant ethical requirements may differ from those set out in this section. The AICPA code also provides guidance in relation to the terms *network* and *network firm*. Networks and other network firms may be structured in a variety of ways and are in all cases external to the firm. The provisions in this section in relation to networks also apply to any structures or organizations that do not form part of the firm but that exist within the network. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Leadership Responsibilities for Managing and Achieving Quality in Audits (Ref: par. .13–.15)

Taking Overall Responsibility for Managing and Achieving Quality

.A30 SQMS No. 1 requires the firm to establish quality objectives that address the firm's governance and leadership, which support the design, implementation, and operation of the system of quality management. The engagement partner's responsibility for managing and achieving quality is supported by a firm culture that demonstrates a commitment to quality. In addressing the requirements in paragraphs .13–.14 of this section, the engagement partner may communicate directly to other members of the engagement team and reinforce this communication through personal conduct and actions (such as leading by example). A culture that demonstrates a commitment to quality is further shaped and reinforced by the engagement team members as they demonstrate expected behaviors when performing the engagement. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Scalability

.A31 The nature and extent of the actions of the engagement partner to demonstrate the firm's commitment to quality may depend on a variety of factors, including the size, structure, geographical dispersion, and complexity of the firm and the engagement team and the nature and circumstances of the audit engagement. With a smaller engagement team with few engagement team members, influencing the desired culture through direct interaction and conduct may be sufficient, whereas for a larger engagement team that is dispersed over many locations, more formal communications may be necessary. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Sufficient and Appropriate Involvement

.A32 Being sufficiently and appropriately involved throughout the audit engagement may be demonstrated by the engagement partner in different ways, including the following:

- Taking responsibility for the nature, timing, and extent of the direction and supervision of the members of the engagement team and the review of their work in complying with the requirements of this section
- Varying the nature, timing, and extent of such direction, supervision, and review in the context of the nature and circumstances of the engagement

[Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Communication

.A33 Communication is the means through which the engagement team shares relevant information on a timely basis to comply with the requirements of this section, thereby contributing to the achievement of quality on the audit engagement. Communication may be between or among members of the engagement team or with

a. the firm (for example, individuals performing activities within the firm's system of quality management, including those assigned ultimate or operational responsibility for the firm's system of quality management),

b. others involved in the audit (for example, internal auditors who provide direct assistance[27] or an auditor's external specialist[28]), or

c. parties that are external to the firm (for example, management, those charged with governance, or regulatory authorities).

[Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A34 The nature and circumstances of the audit engagement may affect the engagement partner's decisions regarding the appropriate means of effective communication with the members of the engagement team. For example, to support appropriate direction, supervision, and review, the firm may use IT applications to facilitate communication between the members of the engagement team when they are performing work across different geographical locations. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

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[27] See paragraph .A47 of section 610. [Footnote renumbered by the issuance of SAS No. 149, March 2023.]

[28] See paragraphs .11*c* and .A33 of section 620. [Footnote renumbered by the issuance of SAS No. 149, March 2023.]

*Professional Skepticism (Ref: **par. .07**)*

.A35 The engagement partner is responsible for emphasizing the importance of each engagement team member maintaining professional skepticism throughout the audit engagement. Conditions inherent in some audit engagements can create pressures on the engagement team that may impede the appropriate exercise of professional skepticism when designing and performing audit procedures and evaluating audit evidence. Accordingly, when developing the overall audit strategy in accordance with section 300, *Planning an Audit*, the engagement team may need to consider whether such conditions exist in the audit engagement and, if so, what actions the firm or the engagement team may need to undertake to mitigate such impediments. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A36 Impediments to the exercise of professional skepticism at the engagement level may include the following:

- Budget constraints, which may discourage the use of sufficiently experienced or technically qualified resources, including experts, necessary for audits of entities in which technical expertise or specialized skills are needed for effective understanding, assessment of, and responses to risks and informed questioning of management.
- Tight deadlines, which may negatively affect the behavior of those who perform the work as well as those who direct, supervise, and review. For example, external time pressures may create restrictions to analyzing complex information effectively.
- Lack of cooperation or undue pressures imposed by management, which may negatively affect the engagement team's ability to resolve complex or contentious issues.
- Insufficient understanding of the entity and its environment, its system of internal control, and the applicable financial reporting framework, which may constrain the ability of the engagement team to make appropriate judgments and an informed questioning of management's assertions.
- Difficulties in obtaining access to records, facilities, certain employees, customers, vendors, or others, which may cause the engagement team to bias the selection of sources of audit evidence and seek audit evidence from sources that are more easily accessible.
- Overreliance on automated tools and techniques, which may result in the engagement team not critically assessing audit evidence.

[Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A37 Unconscious or conscious auditor biases may affect the engagement team's professional judgments, including, for example, in the design and performance of audit procedures, or the evaluation of audit evidence. Examples of unconscious auditor biases that may impede the exercise of professional skepticism and, therefore, the reasonableness of the professional judgments made by the engagement team in complying with the requirements of this section may include the following:

- *Availability bias*, which is a tendency to place more weight on events or experiences that immediately come to mind or are readily available than on those that are not
- *Confirmation bias*, which is a tendency to place more weight on information that corroborates an existing belief than information that contradicts or casts doubt on that belief
- *Groupthink*, which is a tendency to think or make decisions as a group, discouraging creativity or individual responsibility
- *Overconfidence bias*, which is a tendency to overestimate one's own ability to make accurate assessments of risk or other judgments or decisions
- *Anchoring bias*, which is a tendency to use an initial piece of information as an anchor against which subsequent information is inadequately assessed
- *Automation bias*, which is a tendency to favor output generated from automated systems, even when human reasoning or contradictory information raises questions about whether such output is reliable or fit for purpose

[Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A38 Possible actions that the engagement team may take to mitigate impediments to the exercise of professional skepticism at the engagement level may include the following:

- Remaining alert to changes in the nature or circumstances of the audit engagement that necessitate additional or different resources for the engagement and requesting additional or different resources from those individuals within the firm responsible for allocating or assigning resources to the engagement
- Explicitly alerting the engagement team to instances or situations in which vulnerability to unconscious or conscious auditor biases may be greater (for example, areas involving greater judgment) and emphasizing the importance of seeking advice from more experienced members of the engagement team in planning and performing audit procedures
- Changing the composition of the engagement team, for example, requesting that more experienced individuals with greater skills or knowledge or specific expertise be assigned to the engagement
- Involving more experienced members of the engagement team when dealing with members of management who are difficult or challenging to interact with
- Involving members of the engagement team with specialized skills and knowledge or an auditor's specialist to assist the engagement team with complex or subjective areas of the audit
- Modifying the nature, timing, and extent of direction, supervision, or review by involving more experienced engagement team members, more in-person oversight on a more frequent basis, or more in-depth reviews of certain working papers for

   - complex or subjective areas of the audit,
   - areas that pose risks to achieving quality on the audit engagement,
   - areas with a fraud risk, and
   - identified or suspected noncompliance with laws or regulations
- Setting expectations for
   - less experienced members of the engagement team to seek advice frequently and in a timely manner from more experienced engagement team members or the engagement partner, and
   - more experienced members of the engagement team to be available to less experienced members of the engagement team throughout the audit engagement and to respond positively and in a timely manner to their insights, requests for advice, or assistance
- Communicating with those charged with governance when management imposes undue pressure or the engagement team experiences difficulties in obtaining access to records, facilities, certain employees, customers, vendors, or others from whom audit evidence may be sought

[Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Assigning Procedures, Tasks, or Actions to Other Members of the Engagement Team (Ref: par. .15)

.A39 Being sufficiently and appropriately involved throughout the audit engagement when procedures, tasks, or actions have been assigned to other members of the engagement team may be demonstrated by the engagement partner in different ways, including the following:

- Informing assignees about the nature of their responsibilities and authority, the scope of the work being assigned and the objectives thereof, and providing any other necessary instructions and relevant information
- Directing and supervising the assignees
- Reviewing the assignees' work to evaluate the conclusions reached, in addition to the requirements in paragraphs .29–.34

[Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Relevant Ethical Requirements, Including Those Related to Independence (Ref: par. .16–.21)

Relevant Ethical Requirements (Ref: par. .01 and .16–.21)

.A40 Section 200[29] requires that the auditor comply with relevant ethical requirements relating to financial statement audit engagements, including those requirements pertaining to independence. Relevant ethical requirements may vary depending on the nature and circumstances of the engagement. For example, certain requirements related to independence may be applicable only when performing audits of depository institutions or employee benefit plans. Section 600A includes additional requirements and guidance to those in this section regarding communications about relevant ethical requirements with component auditors. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A41 Based on the nature and circumstances of the audit engagement, certain law, regulation, or aspects of relevant ethical requirements, such as those pertaining to noncompliance with laws or regulations, may be relevant to the engagement (for example, laws or regulations dealing with money laundering, corruption, or bribery). [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A42 The firm's information system and the resources provided by the firm may assist the engagement team in understanding and fulfilling relevant ethical requirements applicable to the nature and circumstances of the audit engagement. For example, the firm may do the following:

- Communicate the independence requirements to engagement teams.
- Provide training for engagement teams on relevant ethical requirements.
- Establish manuals and guides (that is, intellectual resources) containing the provisions of the relevant ethical requirements and guidance on how they are applied in the nature and circumstances of the firm and its engagements.
- Assign personnel to manage and monitor compliance with relevant ethical requirements (for example, SQMS No. 1 requires that the firm obtains, at least annually, a documented confirmation of compliance with the independence requirements from all personnel required by relevant ethical requirements to be independent) or provide consultation on matters related to relevant ethical requirements.
- Establish policies or procedures for engagement team members to communicate relevant and reliable information to appropriate parties within the firm or to the engagement partner, such as policies or procedures for engagement teams to
  - — communicate information about client engagements and the scope of services, including nonassurance services, to enable the firm to identify threats to independence during the period of the engagement and during the period covered by the subject matter.
  - — communicate circumstances and relationships that may create a threat to independence so that the firm can evaluate whether such a threat is at an acceptable level and, if it is not, address the threat by eliminating it or reducing it to an acceptable level.

[29] Paragraphs .16 and .A15–.A21 of section 200. [Footnote renumbered by the issuance of SAS No. 149, March 2023.]

— promptly communicate any breaches of the relevant ethical requirements, including those related to independence.

[Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A43 The engagement partner may take into account the information, communication, and resources described in paragraph .A42 when determining whether the engagement partner may depend on the firm's policies or procedures in complying with relevant ethical requirements. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A44 Open and robust communication between the members of the engagement team about relevant ethical requirements may also assist in

- drawing the attention of engagement team members to relevant ethical requirements that may be of particular significance to the audit engagement, and
- keeping the engagement partner informed about matters relevant to the engagement team's understanding and fulfillment of relevant ethical requirements and the firm's related policies or procedures.

[Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Identifying and Evaluating Threats to Compliance With Relevant Ethical Requirements (Ref: par. .17–.18)

.A45 In accordance with SQMS No. 1, the firm's responses to address the quality risks in relation to relevant ethical requirements, including those related to independence for engagement team members, include policies or procedures for identifying, evaluating, and addressing threats to compliance with the relevant ethical requirements. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A46 Relevant ethical requirements may contain provisions regarding the identification and evaluation of threats and how they are to be dealt with. For example, the "General Requirements for Performing Nonattest Services" interpretation (ET sec. 1.295.040) of the "Independence Rule" in the AICPA code provides guidance regarding safeguards for reducing threats to independence to an acceptable level when performing nonattest services for an attest client. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Breaches of Relevant Ethical Requirements (Ref: par. .19)

.A47 In accordance with SQMS No. 1, the firm is required to establish policies or procedures for identifying, communicating, evaluating, and reporting any breaches of relevant ethical requirements and appropriately responding to the causes and consequences of the breaches in a timely manner. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Taking Appropriate Action (Ref: par. .20)

.A48 Examples of appropriate actions may include the following:

- Following the firm's policies or procedures regarding breaches of relevant ethical requirements, including communicating to or consulting with the appropriate individuals so that appropriate action can be taken, including as applicable, disciplinary action.
- Communicating with those charged with governance.
- Communicating with regulatory authorities or professional bodies. In some circumstances, communication with regulatory authorities may be required by law or regulation.
- Seeking legal advice.
- Withdrawing from the audit engagement when withdrawal is possible under applicable law or regulation.

[Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Prior to Dating the Auditor's Report (Ref: par. .21)

.A49 Section 700, *Forming an Opinion and Reporting on Financial Statements*, requires that the auditor's report include a statement that the auditor is independent of the entity in accordance with the relevant ethical requirements relating to the audit and that the auditor has fulfilled the auditor's other ethical responsibilities in accordance with these requirements.[30] Performing the procedures required by paragraphs .16–.21 of this section provides the basis for these statements in the auditor's report. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Considerations Specific to Governmental Audit Organizations

.A50 Law or regulation may provide safeguards for the independence of governmental audit organizations and the auditors they employ. However, in the absence of law or regulation, governmental audit organizations may establish supplemental safeguards to assist the auditor or audit organization in maintaining independence. Additionally, when law or regulation does not permit withdrawal from the engagement, the auditor may disclose in the auditor's report the circumstances affecting the auditor's independence. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Acceptance and Continuance of Client Relationships and Audit Engagements (Ref: par. .22–.24)

.A51 SQMS No. 1 requires the firm to establish quality objectives that address the acceptance and continuance of client relationships and specific engagements. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A52 Information such as the following may assist the engagement partner in determining whether the conclusions reached regarding the acceptance and continuance of client relationships and audit engagements are appropriate:

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[30] Paragraph .28*c* of section 700. [Footnote renumbered by the issuance of SAS No. 149, March 2023.]

- The integrity and ethical values of the principal owners, key management, and those charged with governance of the entity
- Whether sufficient and appropriate resources are available to perform the engagement
- Whether management and those charged with governance have acknowledged their responsibilities in relation to the engagement
- Whether the engagement team has the competence and capabilities, including sufficient time, to perform the engagement
- Whether significant matters that have arisen during the current or previous engagement have implications for continuing the engagement

[Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A53 Under SQMS No. 1, for acceptance and continuance decisions, the firm is required to make judgments about the firm's ability to perform the engagement in accordance with professional standards and applicable legal and regulatory requirements. The engagement partner may use the information considered by the firm in this regard in determining whether the conclusions reached regarding the acceptance and continuance of client relationships and audit engagements are appropriate. If the engagement partner has concerns regarding the appropriateness of the conclusions reached, the engagement partner may discuss the basis for those conclusions with those involved in the acceptance and continuance process. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A54 If the engagement partner is directly involved throughout the firm's acceptance and continuance process, the engagement partner will be aware of the information obtained or used by the firm in reaching the related conclusions. Such direct involvement may also provide a basis for the engagement partner's determination that the firm's policies or procedures have been followed and that the conclusions reached are appropriate. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A55 Information obtained during the acceptance and continuance process may assist the engagement partner in complying with the requirements of this section and making informed decisions about appropriate courses of action. Such information may include the following:

- Information about the size, complexity, and nature of the entity, including whether it is a group audit, the industry in which it operates, and the applicable financial reporting framework
- The entity's timetable for reporting, such as at interim and final stages
- In relation to group audits, the nature of the control relationships between the parent and its entities or business units
- Whether there have been changes in the entity or in the industry in which the entity operates since the previous audit engagement that may affect the nature of resources

required, as well as the manner in which the work of the engagement team will be directed, supervised, and reviewed

[Paragraph renumbered and amended, effective for engagements conducted in accordance with generally accepted auditing standards for periods beginning on or after December 15, 2025, by SAS No. 149.]

.A56 Information obtained during acceptance and continuance may also be relevant in complying with the requirements of other sections, as well as this section, for example, with respect to the following:

- Establishing an understanding of the terms of the audit engagement, as required by section 210, *Terms of Engagement*[31]
- Identifying and assessing risks of material misstatement, whether due to error or fraud, in accordance with section 315 and section 240, *Consideration of Fraud in a Financial Statement Audit*
- Understanding the group and its environments, in the case of an audit of group financial statements in accordance with SAS No. 149, and directing, supervising, and reviewing the work of component auditors
- Determining whether, and how, to involve an auditor's specialist in accordance with section 620
- The entity's governance structure in accordance with section 260, *The Auditor's Communication With Those Charged With Governance*, and section 265, *Communicating Internal Control Related Matters Identified in an Audit*

[Paragraph renumbered and amended, effective for engagements conducted in accordance with generally accepted auditing standards for periods beginning on or after December 15, 2025, by SAS No. 149.]

.A57 Law, regulation, or relevant ethical requirements may require the successor auditor to request, prior to accepting the audit engagement, the predecessor auditor to provide known information regarding any facts or circumstances that, in the predecessor auditor's judgment, the successor auditor needs to be aware of before deciding whether to accept the engagement. In some circumstances, the predecessor auditor may be required, on request by the proposed successor auditor, to provide information regarding identified or suspected noncompliance with laws and regulations to the proposed successor auditor. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A58 In circumstances in which the firm is obligated by law or regulation to accept or continue an audit engagement, the engagement partner may take into account information obtained by the firm about the nature and circumstances of the engagement. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

[31] Paragraph .09 of section 210, *Terms of Engagement*. [Footnote renumbered by the issuance of SAS No. 149, March 2023.]

.A59 In deciding on the necessary action, the engagement partner and the firm may conclude that it is appropriate to continue with the audit engagement and, if so, determine what additional steps are necessary at the engagement level (for example, the assignment of more staff or staff with specific expertise). If the engagement partner has further concerns or is not satisfied that the matter has been appropriately resolved, the firm's policies or procedures for resolving differences of opinion may be applicable. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Considerations Specific to Governmental Audit Organizations (Ref: par. .22–.24)

.A60 When the auditor is a government audit organization, the auditor may be appointed in accordance with law or regulation, and the auditor may not need to establish all policies or procedures regarding the acceptance and continuance of audit engagements. Nevertheless, the requirements and considerations for the acceptance and continuance of client relationships and engagements as set out in paragraphs .22–.24 and .A51–.A59 may be valuable to such auditors in performing risk assessments and in carrying out reporting responsibilities. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Engagement Resources (Ref: par. .25–.28)

.A61 Under SQMS No. 1, the resources assigned or made available by the firm to support the performance of audit engagements include

- human resources,
- technological resources, and
- intellectual resources.

[Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A62 Resources for an audit engagement are primarily assigned or made available by the firm, although there may be circumstances in which the engagement team directly obtains resources for the audit engagement. For example, this may be the case when a component auditor is required by statute, regulation, or for another reason to express an audit opinion on the financial statements of a component, and the component auditor is also appointed by component management to perform audit procedures on behalf of the group auditor.[32] In such circumstances, the firm's policies or procedures may require the engagement partner to take different actions, such as requesting information from the component auditor, to determine whether sufficient and appropriate resources are assigned or made available. [Paragraph renumbered and amended, effective for engagements conducted in accordance with generally accepted auditing standards for periods beginning on or after December 15, 2025, by SAS No. 149.]

.A63 A relevant consideration for the engagement partner, in complying with the requirements in paragraphs .25–.26, may be whether the resources assigned or made

[32] See paragraph A10 of SAS No. 149. [Footnote renumbered and amended, effective for engagements conducted in accordance with generally accepted auditing standards for periods beginning on or after December 15, 2025, by SAS No. 149.]

available to the engagement team enable fulfillment of relevant ethical requirements, including ethical principles such as professional competence and due care. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Human Resources

.A64 Human resources include members of the engagement team (see also paragraphs .A5 and .A15–.A21) and, when applicable, an auditor's external specialist and individuals from within the entity's internal audit function who provide direct assistance on the audit. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Technological Resources

.A65 The use of technological resources on the audit engagement may assist the auditor in obtaining sufficient appropriate audit evidence. Technological resources may include tools that allow the auditor to more effectively and efficiently manage the audit. Technological tools may also allow the auditor to evaluate large amounts of data more easily to, for example, provide deeper insights, identify unusual trends, or more effectively challenge management's assertions, which enhances the ability of the auditor to exercise professional skepticism. Technological tools may also be used to conduct meetings and provide communication tools to the engagement team. Inappropriate use of technological resources may, however, increase the risk of overreliance on the information produced for decision-making purposes or may create threats to complying with relevant ethical requirements, for example, requirements related to confidentiality. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A66 The firm's policies or procedures may include required considerations or responsibilities for the engagement team when using firm-approved technological tools to perform audit procedures and may require, depending on the tool used, the involvement of individuals with specialized skills or expertise in evaluating or analyzing the output. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A67 When the engagement partner requires individuals from another firm to use specific automated tools and techniques when performing audit procedures, communications with those individuals may indicate that the use of such automated tools and techniques needs to comply with the engagement team's instructions. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A68 The firm's policies or procedures may specifically prohibit the use of certain IT applications or features of IT applications (for example, software that has not yet been specifically approved for use by the firm). Alternatively, the firm's policies or procedures may require the engagement team to take certain actions before using an IT application that is not firm approved to determine it is appropriate for use, for example, by requiring

- the engagement team to have appropriate competence and capabilities to use the technological resource.
- testing of the operation and security of the IT application.

- specific documentation to be included in the audit file.

[Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A69 The engagement partner may exercise professional judgment in considering whether the use of an IT application on the audit engagement is appropriate in the context of the engagement, and if so, how the IT application is to be used. Factors that may be considered in determining whether a particular IT application that has not been specifically approved for use by the firm is appropriate for use in the audit engagement include whether

- use and security of the IT application comply with the firm's policies or procedures.
- the IT application operates as intended.
- personnel have the competence and capabilities required to use the IT application.

[Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Intellectual Resources

.A70 Intellectual resources include, for example, audit methodologies, implementation tools, auditing guides, model programs, templates, checklists, or forms. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A71 The use of intellectual resources on the audit engagement may facilitate the consistent application and understanding of professional standards, law and regulation, and related firm policies or procedures. For this purpose, the engagement team may be required, in accordance with the firm's policies or procedures, to use the firm's audit methodology and specific tools and guidance. The engagement team may also consider whether the use of other intellectual resources is appropriate and relevant based on the nature and circumstances of the engagement, for example, an industry-specific methodology or related guides and performance aids. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Sufficient and Appropriate Resources to Perform the Engagement (Ref: par. .25)

.A72 In determining whether sufficient and appropriate resources to perform the engagement have been assigned or made available to the engagement team, ordinarily, the engagement partner may depend on the firm's related policies or procedures (including resources) as described in paragraph .A6. For example, based on information communicated by the firm, the engagement partner may be able to depend on the firm's technological development, implementation, and maintenance programs when using firm-approved technology to perform audit procedures. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A73 The engagement partner may find it necessary to seek input from others with responsibilities for direction, supervision, and review to make the determinations required by paragraphs .25–.27 of this section. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Competence and Capabilities of the Engagement Team (Ref: par. .26)

.A74 When determining that the engagement team has the appropriate competence and capabilities, the engagement partner may take into consideration such matters as the team's

- understanding of, and practical experience with, audit engagements of a similar nature and complexity through appropriate training and participation.
- understanding of professional standards and applicable legal and regulatory requirements.
- expertise in specialized areas of accounting or auditing.
- expertise in IT used by the entity or automated tools or techniques that are to be used by the engagement team in planning and performing the audit engagement.
- knowledge of relevant industries in which the entity being audited operates.
- ability to exercise professional skepticism and professional judgment.
- understanding of the firm's policies or procedures.

[Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A75 Internal auditors and an auditor's external specialist are not members of the engagement team. Section 610[33] and section 620[34] include requirements and guidance relating to the assessment of the competence and capabilities of internal auditors and an auditor's external specialist, respectively. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Project Management

.A76 In situations in which there are many engagement team members, for example, in an audit of a larger or more complex entity, the engagement partner may involve an individual who has specialized skills or knowledge in project management, supported by appropriate technological and intellectual resources of the firm. Conversely, in an audit of a less complex entity with few engagement team members, project management may be achieved by a member of the engagement team through less formal means. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A77 Project management techniques and tools may support the engagement team in managing the quality of the audit engagement by, for example,

- increasing the engagement team's ability to exercise professional skepticism through alleviating budget or time constraints that may otherwise impede the exercise of professional skepticism.

[33] Paragraph .13 of section 610. [Footnote renumbered by the issuance of SAS No. 149, March 2023.]

[34] Paragraph .09 of section 620. [Footnote renumbered by the issuance of SAS No. 149, March 2023.]

- facilitating timely performance of audit work to effectively manage time constraints at the end of the audit process when more difficult or contentious matters may arise.
- monitoring the progress of the audit against the audit plan,[35] including the achievement of key milestones, which may assist the engagement team in being proactive in identifying the need for making timely adjustments to the audit plan and the assigned resources.
- facilitating communication among members of the engagement team, for example, coordinating arrangements with component auditors and auditor's specialists.

[Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Insufficient or Inappropriate Resources (Ref: par. .27)

.A78 SQMS No. 1 addresses the firm's commitment to quality through its culture that exists throughout the firm, which recognizes and reinforces the firm's role in serving the public interest by consistently performing quality engagements, and the importance of quality in the firm's strategic decisions and actions, including the firm's financial and operational priorities. SQMS No. 1 also addresses the firm's responsibilities for planning for resource needs and obtaining, allocating, or assigning resources in a manner that is consistent with the firm's commitment to quality. However, in certain circumstances, the firm's financial and operational priorities may place constraints on the resources assigned or made available to the engagement team. In such circumstances, these constraints do not override the engagement partner's responsibility for achieving quality at the engagement level, including for determining that the resources assigned or made available by the firm are sufficient and appropriate to perform the audit engagement. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

[.A79] [Paragraph renumbered and deleted by the issuance of SAS No. 149, March 2023.]

.A80 The engagement partner's determination of whether additional engagement level resources are required is a matter of professional judgment and is influenced by the requirements of this section and the nature and circumstances of the audit engagement. As described in paragraph .A11, in certain circumstances, the engagement partner may determine that the firm's responses to quality risks are ineffective in the context of the specific engagement, including that certain resources assigned or made available to the engagement team are insufficient. In those circumstances, the engagement partner is required to take appropriate action, including communicating such information to the appropriate individuals in accordance with paragraphs .27 and .39*c*. For example, if an audit software program provided by the firm has not incorporated new or revised audit procedures regarding recently issued industry regulation, timely communication of such information to the firm enables the firm to take steps to update and reissue the software promptly or to provide an alternative resource that enables the engagement team to comply with the new regulation in the performance of the audit engagement. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

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[35] See paragraph .09 of section 300. [Footnote renumbered by the issuance of SAS No. 149, March 2023.]

.A81 If the resources assigned or made available are insufficient or inappropriate in the circumstances of the engagement and additional or alternative resources have not been made available, appropriate actions may include the following:

- Changing the planned approach to the nature, timing, and extent of direction, supervision, and review (see also paragraph .A97)
- Discussing an extension to reporting deadlines with management or those charged with governance, when an extension is possible under applicable law or regulation
- Following the firm's policies or procedures for resolving differences of opinion if the engagement partner does not obtain the necessary resources for the audit engagement
- Following the firm's policies or procedures for withdrawing from the audit engagement, when withdrawal is possible under applicable law or regulation

[Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Considerations Specific to Audits of Governmental Entities (Ref: par. .25–.28)

.A82 For audits of governmental entities, competence may include skills that are necessary to comply with applicable law or regulation, such as knowledge of *Government Auditing Standards* and an understanding of the applicable reporting requirements, including reporting to the legislature or other governing body or reporting in the public interest. The scope of a governmental audit may include, for example, additional requirements with respect to detecting misstatements that result from violations of provisions of contracts or grant agreements that could have a direct and material effect on the determination of financial statement amounts or the need to examine and report on internal control over financial reporting or compliance. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Engagement Performance

Scalability (Ref: par. .29)

.A83 When an audit is not carried out entirely by the engagement partner, or in an audit of an entity whose nature and circumstances are more complex, it may be necessary for the engagement partner to assign direction, supervision, and review to other members of the engagement team. However, as part of the engagement partner's overall responsibility for managing and achieving quality on the audit engagement and to be sufficiently and appropriately involved, the engagement partner is required to determine that the nature, timing, and extent of direction, supervision, and review is undertaken in accordance with paragraph .30. In such circumstances, personnel or members of the engagement team, including component auditors, may provide information to the engagement partner to enable the engagement partner to make the determination required by paragraph .30. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Direction, Supervision, and Review (Ref: par. .30)

.A84 Under SQMS No. 1, the firm is required to establish a quality objective that addresses the nature, timing, and extent of the direction and supervision of engagement teams and review of their work. SQMS No. 1 also requires that such direction, supervision, and review be planned and performed on the basis that the work performed by less experienced members of the engagement team be directed, supervised, and reviewed by more experienced engagement team members. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A85 Direction and supervision of the engagement team and the review of the work of the engagement team are firm-level responses that are implemented at the engagement level, of which the nature, timing, and extent may be further tailored by the engagement partner in managing the quality of the audit engagement. Accordingly, the approach to direction, supervision, and review will vary from one engagement to the next, taking into account the nature and circumstances of the engagement. The approach will generally include a combination of addressing the firm's policies or procedures and engagement-specific responses. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A86 The approach to the direction and supervision of the members of the engagement team and the review of their work provides support for the engagement partner in fulfilling the requirements of this section and in concluding that the engagement partner has been sufficiently and appropriately involved throughout the audit engagement in accordance with paragraph .40. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A87 Ongoing discussion and communication among members of the engagement team allows less experienced engagement team members to raise questions with more experienced engagement team members (including the engagement partner) in a timely manner and enables effective direction, supervision, and review in accordance with paragraph .30. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Direction

.A88 Direction of the engagement team may involve informing the members of the engagement team of their responsibilities, such as the following:

- Contributing to the management and achievement of quality at the engagement level through their personal conduct, communication, and actions
- Maintaining a questioning mind and being aware of unconscious or conscious auditor biases in maintaining professional skepticism when gathering and evaluating audit evidence (see paragraph .A37)
- Fulfilling relevant ethical requirements
- The responsibilities of respective partners when more than one partner is involved in the conduct of an audit engagement

- The responsibilities of respective engagement team members to perform audit procedures and of more experienced engagement team members to direct, supervise, and review the work of less experienced engagement team members
- Understanding the objectives of the work to be performed and the detailed instructions regarding the nature, timing, and extent of planned audit procedures as set forth in the overall audit strategy and audit plan
- Addressing threats to the achievement of quality, and the engagement team's expected response, for example, the threat that budget constraints or resource constraints result in the engagement team members inappropriately modifying planned audit procedures or failing to perform planned audit procedures

[Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Supervision

.A89 Supervision may include matters such as the following:

- Tracking the progress of the audit engagement, which includes monitoring
  - — the progress against the audit plan,
  - — whether the objective of work performed has been achieved, and
  - — the ongoing adequacy of assigned resources
- Taking appropriate action to address issues arising during the engagement, including, for example, reassigning planned audit procedures to more experienced engagement team members when issues are more complex than initially anticipated
- Identifying matters for consultation or consideration by more experienced engagement team members during the audit engagement
- Providing coaching and on-the-job training to help engagement team members develop skills or competencies
- Creating an environment where engagement team members raise concerns without fear of reprisals

[Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Review

.A90 Review of the engagement team's work provides support for the conclusion that the requirements of this section have been addressed. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A91 Review of the engagement team's work consists of consideration of whether, for example,

- the work has been performed in accordance with the firm's policies or procedures, professional standards, and applicable legal and regulatory requirements;
- significant matters have been raised for further consideration;
- appropriate consultations have taken place, and the resulting conclusions have been documented and implemented;
- there is a need to revise the nature, timing, and extent of work performed;
- the work performed supports the conclusions reached and is appropriately documented;
- the evidence obtained is sufficient and appropriate to provide a basis for the auditor's opinion; and
- the objectives of the audit procedures have been achieved.

[Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A92 The firm's policies or procedures may contain specific requirements regarding

- the nature, timing, and extent of review of audit documentation;
- different types of review that may be appropriate in different situations (for example, review of each individual working paper or selected working papers); and
- which members of the engagement team are required to perform the different types of review.

[Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

The Engagement Partner's Review (Ref: par. .30–.34)

.A93 As required by section 300, the engagement partner reviews the overall audit strategy and audit plan.[36] As required by section 230, the engagement partner documents the date and extent of the review.[37] [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A94 Timely review of documentation by the engagement partner at appropriate stages throughout the audit engagement enables significant matters to be resolved to the engagement partner's satisfaction on or before the date of the auditor's report. The engagement partner need not review all audit documentation. The engagement partner exercises professional judgment in determining the extent of documentation to be reviewed, for example, when determining the nature and extent of the review of component auditor documentation in a group audit. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

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[36] Paragraph .11 of section 300, as amended by Statement on Auditing Standards No. 146, *Quality Management for an Engagement Conducted in Accordance With Generally Accepted Auditing Standards* (sec. 220). [Footnote renumbered by the issuance of SAS No. 149, March 2023.]

[37] Paragraph .09*c* of section 230. [Footnote renumbered by the issuance of SAS No. 149, March 2023.]

.A95 The engagement partner exercises professional judgment in identifying the areas of significant judgment made by the engagement team. The firm’s policies or procedures may specify certain matters that are commonly expected to be significant judgments. Significant judgments in relation to the audit engagement may include matters related to the overall audit strategy and audit plan for undertaking the engagement, the execution of the engagement, and the overall conclusions reached by the engagement team. Examples follow:

- Matters related to planning the engagement, such as matters related to determining materiality
  - — The composition of the engagement team, including
    - personnel using expertise in a specialized area of accounting or auditing
    - the use of personnel from service delivery centers
  - — The decision to involve an auditor’s specialist, including the decision to involve an external specialist
- The engagement team's consideration of information obtained in the acceptance and continuance process and proposed responses to that information
- The engagement team's risk assessment process, including situations in which consideration of inherent risk factors and the assessment of inherent risk requires significant judgment by the engagement team
- The engagement team's consideration of related party relationships and transactions and disclosures
- Results of the procedures performed by the engagement team on significant areas of the engagement, for example, conclusions concerning certain accounting estimates, accounting policies, or going concern considerations
- The engagement team's evaluation of the work performed by specialists and conclusions drawn therefrom
- In group audit situations,
  - — the proposed overall group audit strategy and group audit plan;
  - — decisions about the involvement of component auditors, including how to direct and supervise them and review their work; and
  - — the evaluation of work performed by component auditors and the conclusions drawn therefrom
- How matters affecting the overall audit strategy and audit plan have been addressed
- The significance and disposition of corrected and uncorrected misstatements identified during the engagement

- The proposed audit opinion and matters to be communicated in the auditor's report, for example, key audit matters, or a "Material Uncertainty Related to Going Concern" paragraph.

[Paragraph renumbered and amended, effective for engagements conducted in accordance with generally accepted auditing standards for periods beginning on or after December 15, 2025, by SAS No. 149.]

.A96 The engagement partner exercises professional judgment in determining other matters to review, for example, based on

- the nature and circumstances of the audit engagement.
- which engagement team member performed the work.
- matters relating to recent inspection findings.
- the requirements of the firm's policies or procedures.

[Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Nature, Timing, and Extent

.A97 The nature, timing, and extent of the direction, supervision, and review are required to be planned and performed in accordance with the firm's policies or procedures, as well as professional standards and applicable legal and regulatory requirements. For example, the firm's policies or procedures may include the following:

- Work planned to be performed at an interim date is to be directed, supervised, and reviewed at the same time as the performance of the procedures, rather than at the end of the period, so that any necessary corrective action can be taken in a timely manner.
- Certain matters are to be reviewed by the engagement partner, and the firm may specify the circumstances or engagements in which such matters are expected to be reviewed.

[Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Scalability

.A98 The following are examples of factors that may influence the firm's approach to direction, supervision, and review:

- The engagement team member's previous experience with the entity and the area to be audited. For example, if the work related to the entity's information system is being performed by the same engagement team member who performed the work in the prior period and there are no significant changes to the information system, the extent and frequency of the direction and supervision of the engagement team member may be less, and the review of the related working papers may be less detailed.

- The complexity of the audit engagement. For example, if significant events have occurred that make the audit engagement more complex, the extent and frequency of the direction and supervision of the engagement team member may be greater, and the review of the related working papers may be more detailed.

- The assessed risks of material misstatement. For example, a higher assessed risk of material misstatement may require a corresponding increase in the extent and frequency of the direction and supervision of engagement team members and a more detailed review of their work.

- The competence and capabilities of the individual engagement team members performing the audit work. For example, less experienced engagement team members may require more detailed instructions and more frequent, or in-person, interactions as the work is performed.

- The manner in which the reviews of the work performed are expected to take place. For example, in some circumstances, remote reviews may not be effective in providing the necessary direction and may need to be supplemented by in-person interactions.

- The structure of the engagement team and the location of engagement team members. For example, direction and supervision of individuals located at service delivery centers and the review of their work may
  - — be more formalized and structured than when members of the engagement team are all situated in the same location or
  - — use IT to facilitate the communication between the members of the engagement team.

[Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A99 Identification of changes in the engagement circumstances may warrant reevaluation of the planned approach to the nature, timing, or extent of direction, supervision, or review. For example, if the assessed risk of material misstatement at the financial statement level increases because of a complex transaction, the engagement partner may need to change the planned level of review of the work related to the transaction. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A100 In accordance with paragraph .30*b*, the engagement partner is required to determine that the approach to direction, supervision, and review is responsive to the nature and circumstances of the audit engagement. For example, if a more experienced engagement team member becomes unavailable to participate in the supervision and review of the engagement team, the engagement partner may need to increase the extent of supervision and review of the less experienced engagement team members. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Review of Communications to Management, Those Charged With Governance, or Regulatory Authorities (Ref: par. .34)

.A101 The engagement partner uses professional judgment in determining which written communications to review, taking into account the nature and circumstances of the audit engagement. For example:

- It may not be necessary for the engagement partner to review communications between the engagement team and management in the ordinary course of the audit.
- In group audit situations, the engagement partner may determine to review formal written communications to group management, those charged with governance of the group, or regulatory authorities relevant to the group.

[Paragraph renumbered and amended, effective for engagements conducted in accordance with generally accepted auditing standards for periods beginning on or after December 15, 2025, by SAS No. 149.]

Consultation (Ref: par. .35)

.A102 SQMS No. 1 requires the firm to establish a quality objective that addresses consultation on difficult or contentious matters and how the conclusions agreed are implemented. Consultation may be appropriate or required, for example, for

- issues that are complex or unfamiliar (for example, issues related to an accounting estimate with a high degree of estimation uncertainty),
- significant risks,
- significant transactions that are outside the normal course of business for the entity or that otherwise appear to be unusual,
- limitations imposed by management, and
- noncompliance with laws or regulations.

[Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A103 Effective consultation on significant technical, ethical, and other matters within the firm or, where applicable, outside the firm, may be achieved when those consulted

- are given all the relevant facts that will enable them to provide informed advice and
- have appropriate knowledge, seniority, and experience.

[Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A104 It may be appropriate for the engagement team, in the context of the firm's policies or procedures, to consult outside the firm, for example, in areas where the firm lacks appropriate internal resources. The engagement team may take advantage of advisory services provided by firms, professional and regulatory bodies, or commercial organizations that provide relevant quality control services. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A105 The need for consultation outside the engagement team on a difficult or contentious matter may be an indicator that the matter is a key audit matter.[38] [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Engagement Quality Review (Ref: par. .36)

.A106 SQMS No. 1 contains requirements that the firm establish policies or procedures addressing engagement quality reviews in accordance with SQMS No. 2, *Engagement Quality Reviews* (QM sec. 20),[39] and requiring an engagement quality review for certain types of engagements.[40] SQMS No. 2 deals with the appointment and eligibility of the engagement quality reviewer and the engagement quality reviewer's responsibilities relating to performing and documenting an engagement quality review. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Completion of the Engagement Quality Review Before Dating of the Auditor's Report (Ref: par. .36d)

.A107 Section 700 requires the auditor's report to be dated no earlier than the date on which the auditor has obtained sufficient appropriate audit evidence on which to base the auditor's opinion on the financial statements.[41] If applicable to the audit engagement, SQMS No. 2 and this section require that the engagement partner be precluded from releasing the engagement report until notification has been received from the engagement quality reviewer that the engagement quality review is complete. For example, if the engagement quality reviewer has communicated to the engagement partner concerns about the significant judgments made by the engagement team or that the conclusions reached thereon were not appropriate, then the engagement quality review is not complete.[42] [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A108 An engagement quality review that is conducted in a timely manner at appropriate stages during the audit engagement may assist the engagement team in promptly resolving matters raised to the engagement quality reviewer's satisfaction on or before the date of the auditor's report. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A109 Frequent communications between the engagement team and the engagement quality reviewer throughout the audit engagement may assist in facilitating an effective and timely engagement quality review. In addition to discussing significant matters with the engagement quality reviewer, the engagement partner may assign responsibility for

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[38] Paragraphs .09 and .A13*b* of section 701. [Footnote renumbered by the issuance of SAS No. 149, March 2023.]

[39] SQMS No. 2, *Engagement Quality Reviews* (QM sec. 20). [Footnote renumbered by the issuance of SAS No. 149, March 2023.]

[40] Paragraph 35*f* of SQMS No. 1. [Footnote renumbered by the issuance of SAS No. 149, March 2023.]

[41] Paragraph .43 of section 700. [Footnote renumbered by the issuance of SAS No. 149, March 2023.]

[42] Paragraph 21*b* of SQMS No. 2. [Footnote renumbered by the issuance of SAS No. 149, March 2023.]

coordinating requests from the engagement quality reviewer to another member of the engagement team. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Differences of Opinion (Ref: par. .37–.38)

.A110 SQMS No. 1 requires the firm to establish a quality objective that addresses differences of opinion that arise within the engagement team or between the engagement team and the engagement quality reviewer or individuals performing activities within the firm's system of quality management. SQMS No. 1 also requires that differences of opinion be brought to the attention of the firm and resolved. For example, a component auditor may be instructed to communicate differences of opinion to the group engagement team. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A111 In some circumstances, the engagement partner may not be satisfied with the resolution of the difference of opinion. In such circumstances, appropriate actions for the engagement partner may include, for example,

- seeking legal advice or
- withdrawing from the audit engagement, when withdrawal is possible under applicable law or regulation.

[Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Monitoring and Remediation (Ref: par. .39)

.A112 SQMS No. 1 sets out requirements for the firm's monitoring and remediation process. SQMS No. 1 requires the firm to communicate to engagement teams information about the firm's monitoring and remediation process to enable them to take prompt and appropriate action in accordance with their responsibilities. Further, information provided by members of the engagement team may be used by the firm in the firm's monitoring and remediation process, and exercising professional judgment and maintaining professional skepticism while conducting the audit may assist the members of the engagement team in remaining alert for information that may be relevant to that process. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A113 Information provided by the firm may be relevant to the audit engagement when, for example, it relates to findings on another engagement performed by the engagement partner or other members of the engagement team, findings from the local firm office, or inspection results of previous audits of the entity. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A114 In considering information communicated by the firm through its monitoring and remediation process and how it may affect the audit engagement, the engagement partner may consider the remedial actions designed and implemented by the firm to address deficiencies and, to the extent relevant to the nature and circumstances of the engagement, communicate accordingly to the engagement team. The engagement partner may also determine whether additional remedial actions are needed at the engagement level. For example, the engagement partner may determine that

- an auditor's specialist is needed or
- the nature, timing, and extent of direction, supervision, and review need to be enhanced in an area of the audit where deficiencies have been identified.

If an identified deficiency does not affect the quality of the audit (for example, if it relates to a technological resource that the engagement team did not use), then no further action may be needed. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A115 A deficiency in the firm's system of quality management does not necessarily indicate that an audit engagement was not performed in accordance with professional standards and applicable legal and regulatory requirements or that the auditor's report was not appropriate in the circumstances. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Taking Overall Responsibility for Managing and Achieving Quality (Ref: par. .40)

.A116 SQMS No. 1 requires the firm to establish a quality objective addressing the engagement team's understanding and fulfillment of their responsibilities in connection with the engagement. SQMS No. 1 further requires that the quality objective include the overall responsibility of engagement partners for managing and achieving quality on the engagement and being sufficiently and appropriately involved throughout the engagement. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A117 Relevant considerations in addressing paragraph .40 include determining how the engagement partner has complied with the requirements of this section, given the nature and circumstances of the audit engagement and how the audit documentation evidences the engagement partner's involvement throughout the audit engagement, as described in paragraph .A121. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A118 Indicators that the engagement partner may not have been sufficiently and appropriately involved include, for example, the following:

- Lack of timely review by the engagement partner of the audit engagement planning, including reviewing the assessment of risks of material misstatement and the design of responses to those risks toward the end of the audit
- Evidence that assignees were not provided necessary instructions and relevant information, such as not being adequately informed about the nature of their responsibilities and authority, the scope of the work being assigned, and the objectives thereof
- A lack of evidence of the engagement partner's direction and supervision of the other members of the engagement team and the review of their work

[Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A119 If the engagement partner's involvement does not provide the basis for determining that the significant judgments made and the conclusions reached are appropriate, the engagement partner will not be able to reach the determination required by paragraph .40. In addition to taking into account firm policies or procedures that may set forth the required actions to be taken in such circumstances, appropriate actions that the engagement partner may take, include, for example,

- updating and changing the audit plan,
- reevaluating the planned approach to the nature and extent of review and modifying the planned approach to increase the involvement of the engagement partner, or
- consulting with personnel assigned operational responsibility for the relevant aspect of the firm's system of quality management.

[Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

Documentation (Ref: par. .41)

.A120 In accordance with section 230,[43] audit documentation provides evidence that the audit complies with GAAS. However, it is neither necessary nor practicable for the auditor to document every matter considered, or professional judgment made, in an audit. Further, it is unnecessary for the auditor to document separately (such as in a checklist) compliance with matters for which compliance is demonstrated by documents included within the audit file. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A121 Documentation of the performance of the requirements of this section, including evidencing the involvement of the engagement partner and the engagement partner's determination in accordance with paragraph .40, may be accomplished in different ways depending on the nature and circumstances of the audit engagement. Examples follow:

- Direction of the engagement team can be documented through sign-offs of the audit plan and project management activities.
- Minutes from formal meetings of the engagement team may provide evidence of the clarity, consistency, and effectiveness of the engagement partner's communications and other actions regarding culture and expected behaviors that demonstrate the firm's commitment to quality.
- Agendas from discussions between the engagement partner and other members of the engagement team and, when applicable, the engagement quality reviewer, and related sign-offs and records of the time the engagement partner spent on the engagement, may provide evidence of the engagement partner's involvement throughout the audit engagement and supervision of other members of the engagement team.
- Sign-offs by the engagement partner and other members of the engagement team provide evidence that the working papers were reviewed.

[Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

[43] Paragraph .A9 of section 230. [Footnote renumbered by the issuance of SAS No. 149, March 2023.]

.A122 When dealing with circumstances that may pose risks to achieving quality on the audit engagement, the exercise of professional skepticism, and the documentation of the auditor's consideration thereof, may be important. For example, if the engagement partner obtains information that may have caused the firm to decline the engagement (see paragraph .24), the documentation may include explanations of how the engagement team dealt with the circumstance. [Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

.A123 Documentation of consultations with other professionals that involve difficult or contentious matters that is sufficiently complete and detailed contributes to an understanding of

- the nature and scope of the issue on which consultation was sought and
- the results of the consultation, including any decisions taken, the basis for those decisions, and how they were implemented.

[Paragraph renumbered by the issuance of SAS No. 149, March 2023.]

AU-C Section 220A

Quality Control for an Engagement Conducted in Accordance With Generally Accepted Auditing Standards

Source: SAS No. 122; SAS No. 128; SAS No. 134; SAS No. 136.

Effective for engagements conducted in accordance with generally accepted auditing standards for periods ending on or after December 15, 2012, unless otherwise indicated.

Introduction

Scope of This Section

.01 This section addresses the specific responsibilities of the auditor regarding quality control procedures for an audit of financial statements. It also addresses, when applicable, the responsibilities of the engagement quality control reviewer. This section also applies, adapted as necessary, to other engagements conducted in accordance with generally accepted auditing standards (GAAS) (for example, a review of interim financial information conducted in accordance with section 930, *Interim Financial Information*). This section is to be read in conjunction with the AICPA Code of Professional Conduct and other relevant ethical requirements.

.02 Although Statements on Quality Control Standards are not applicable to auditors in government audit organizations, this section is applicable to auditors in government audit organizations who perform financial audits in accordance with GAAS.[1]

System of Quality Control and the Role of the Engagement Teams

.03 Quality control systems, policies, and procedures are the responsibility of the audit firm. Under QM section 10A, *A Firm's System of Quality Control*, the firm has an obligation to establish and maintain a system of quality control to provide it with reasonable assurance that[2]

a. the firm and its personnel comply with professional standards and applicable legal and regulatory requirements and

[1] Paragraph .02 of QM section 10A, *A Firm's System of Quality Control*.

[2] Paragraph .12 of QM section 10A.

b. reports issued by the firm are appropriate in the circumstances. (Ref: par. .A1)

.04 Within the context of the firm's system of quality control, engagement teams have a responsibility to implement quality control procedures that are applicable to the audit engagement and provide the firm with relevant information to enable the functioning of that part of the firm's system of quality control relating to independence.

.05 Engagement teams are entitled to rely on the firm's system of quality control, unless the engagement partner determines that it is inappropriate to do so based on information provided by the firm or other parties. (Ref: par. .A2)

.06 The engagement partner may use the assistance of other members of the engagement team or other personnel within the firm in meeting the requirements of this section. The requirements imposed by this section on engagement partners do not relieve other members of the engagement team of any of their professional responsibilities.

Effective Date

.07 This section is effective for engagements conducted in accordance with GAAS for periods ending on or after December 15, 2012.

Objective

.08 The objective of the auditor[3] is to implement quality control procedures at the engagement level that provide the auditor with reasonable assurance that

a. the audit complies with professional standards and applicable legal and regulatory requirements and

b. the auditor's report issued is appropriate in the circumstances.

Definitions

.09 For purposes of GAAS, the following terms have the meanings attributed as follows:

Engagement partner.[4] The partner or other person in the firm who is responsible for the audit engagement and its performance and for the auditor's report that is issued on behalf of the firm and who, when required, has the appropriate authority from a professional, legal, or regulatory body.

Engagement quality control review. A process designed to provide an objective evaluation, before the report is released, of the significant judgments the engagement team made and the conclusions it reached in formulating the auditor's report. The engagement quality control review process is only for those audit engagements, if any, for which the firm

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[3] See paragraph .14 of section 200, *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance With Generally Accepted Auditing Standards*, for the definition of *auditor*.

[4] *Engagement partner*, *partner*, and *firm* refer to their governmental equivalents, when relevant.

has determined that an engagement quality control review is required, in accordance with its policies and procedures.

Engagement quality control reviewer. A partner, other person in the firm, suitably qualified external person, or team made up of such individuals, none of whom is part of the engagement team, with sufficient and appropriate experience and authority to objectively evaluate the significant judgments that the engagement team made and the conclusions it reached in formulating the auditor's report.

Engagement team. All partners and staff performing the engagement and any individuals engaged by the firm or a network firm who perform audit procedures on the engagement. This excludes an auditor's external specialist engaged by the firm or a network firm.[5]

The term *engagement team* also excludes individuals within the client's internal audit function who provide direct assistance on an audit engagement when the external auditor complies with the requirements of section 610, *Using the Work of Internal Auditors*.

Firm. A form of organization permitted by law or regulation whose characteristics conform to resolutions of the Council of the AICPA and that is engaged in public practice.

Monitoring. A process comprising an ongoing consideration and evaluation of the firm's system of quality control, including inspection or a periodic review of engagement documentation, reports, and clients' financial statements for a selection of completed engagements, designed to provide the firm with reasonable assurance that its system of quality control is designed appropriately and operating effectively.

Network. An association of entities, as defined in ET section 0.400, *Definitions*.

Network firm. A firm or other entity that belongs to a network, as defined in ET section 0.400.

Partner. Any individual with authority to bind the firm with respect to the performance of a professional services engagement. For purposes of this definition, *partner* may include an employee with this authority who has not assumed the risks and benefits of ownership. Firms may use different titles to refer to individuals with this authority.

Personnel. Partners and staff.

Professional standards. Standards promulgated by the AICPA Auditing Standards Board or the AICPA Accounting and Review Services Committee under the "General Standards Rule" (ET sec. 1.300.001) or the "Compliance With Standards Rule" (ET sec. 1.310.001) of the AICPA Code of Professional Conduct, or other standards-setting bodies that set auditing and attest standards applicable to the engagement being performed and relevant ethical requirements.

Relevant ethical requirements. Ethical requirements to which the engagement team and engagement quality control reviewer are subject, which consist of the AICPA Code

[5] Paragraph .06 of section 620, *Using the Work of an Auditor's Specialist*, defines the term *auditor's specialist*.

of Professional Conduct together with rules of applicable state boards of accountancy and applicable regulatory agencies that are more restrictive.

Staff. Professionals, other than partners, including any specialists that the firm employs.

Suitably qualified external person. An individual outside the firm with the competence and capabilities to act as an engagement partner (for example, a partner of another firm).

[As amended, effective for audits of financial statements for periods ending on or after December 15, 2014, by SAS No. 128. Revised, January 2015, to reflect conforming changes necessary due to the issuance of the revised AICPA Code of Professional Conduct, effective December 15, 2014.]

Requirements

Leadership Responsibilities for Quality on Audits

.10 The engagement partner should take responsibility for the overall quality on each audit engagement to which that partner is assigned. In fulfilling this responsibility, the engagement partner may delegate the performance of certain procedures to, and use the work of, other members of the engagement team and may rely upon the firm's system of quality control. (Ref: par. .A3)

Relevant Ethical Requirements

.11 Throughout the audit engagement, the engagement partner and other members of the engagement team should remain alert for evidence of noncompliance with relevant ethical requirements by members of the engagement team. (Ref: par. .A4)

.12 If matters come to the engagement partner's attention, through the firm's system of quality control or otherwise, that indicate that members of the engagement team have not complied with relevant ethical requirements, the engagement partner, in consultation with others in the firm as appropriate, should determine that appropriate action has been taken.

Independence

.13 The engagement partner should form a conclusion on compliance with independence requirements that apply to the audit engagement. In doing so, the engagement partner should

a. obtain relevant information from the firm and, when applicable, network firms to identify and evaluate circumstances and relationships that create threats to independence;

b. evaluate information on identified breaches, if any, of the firm's independence policies and procedures to determine whether they create a threat to independence for the audit engagement; and

c. take appropriate action to eliminate such threats or reduce them to an acceptable level by applying safeguards or, if considered appropriate, to withdraw from the audit engagement when withdrawal is possible under applicable law or regulation. The engagement partner should promptly report to the firm any inability to resolve the matter so that the firm may take appropriate action. (Ref: par. .A5–.A6)

Acceptance and Continuance of Client Relationships and Audit Engagements

.14 The engagement partner should be satisfied that appropriate procedures regarding the acceptance and continuance of client relationships and audit engagements have been followed and should determine that conclusions reached in this regard are appropriate. (Ref: par. .A7–.A8)

.15 If the engagement partner obtains information that would have caused the firm to decline the audit engagement had that information been available earlier, the engagement partner should communicate that information promptly to the firm so that the firm and the engagement partner can take the necessary action. (Ref: par. .A8)

Assignment of Engagement Teams

.16 The engagement partner should be satisfied that the engagement team and any auditor's external specialists, collectively, have the appropriate competence and capabilities to

a. perform the audit engagement in accordance with professional standards and applicable legal and regulatory requirements and

b. enable an auditor's report that is appropriate in the circumstances to be issued. (Ref: par. .A9–.A11)

Engagement Performance

Direction, Supervision, and Performance

.17 The engagement partner should take responsibility for the following:

a. The direction, supervision, and performance of the audit engagement in compliance with professional standards, applicable legal and regulatory requirements, and the firm's policies and procedures (Ref: par. .A12–.A14 and .A19)

b. The auditor's report being appropriate in the circumstances

Review

.18 The engagement partner should take responsibility for reviews being performed in accordance with the firm's review policies and procedures. (Ref: par. .A15–.A16 and .A19)

.19 On or before the date of the auditor's report, the engagement partner should, through a review of the audit documentation and discussion with the engagement team, be satisfied that sufficient appropriate audit evidence has been obtained to support the conclusions reached and for the auditor's report to be issued. (Ref: par. .A17–.A19)

Consultation

.20 The engagement partner should

a. take responsibility for the engagement team undertaking appropriate consultation on difficult or contentious matters;

b. be satisfied that members of the engagement team have undertaken appropriate consultation during the course of the engagement, both within the engagement team and between the engagement team and others at the appropriate level within or outside the firm;

c. be satisfied that the nature and scope of such consultations are agreed with, and conclusions resulting from such consultations are understood by, the party consulted; and

d. determine that conclusions resulting from such consultations have been implemented. (Ref: par. .A20–.A22)

Engagement Quality Control Review

.21 For those audit engagements, if any, for which the firm has determined that an engagement quality control review is required, the engagement partner should

a. determine that an engagement quality control reviewer has been appointed;

b. discuss significant findings or issues arising during the audit engagement, including those identified during the engagement quality control review, with the engagement quality control reviewer; and

c. not release the auditor's report until the completion of the engagement quality control review. (Ref: par. .A23–.A25)

.22 The engagement quality control reviewer should perform an objective evaluation of the significant judgments made by the engagement team and the conclusions reached in formulating the auditor's report. This evaluation should involve

a. discussion of significant findings or issues with the engagement partner;

b. reading the financial statements and the proposed auditor's report;

c. review of selected audit documentation relating to the significant judgments the engagement team made and the related conclusions it reached; and

d. evaluation of the conclusions reached in formulating the auditor's report and consideration of whether the proposed auditor's report is appropriate. (Ref: par. .A26–.A32)

Differences of Opinion

.23 If differences of opinion arise within the engagement team; with those consulted; or, when applicable, between the engagement partner and the engagement quality control reviewer, the engagement team should follow the firm's policies and procedures for resolving differences of opinion.

Monitoring

.24 An effective system of quality control includes a monitoring process designed to provide the firm with reasonable assurance that its policies and procedures relating to the system of quality control are relevant, adequate, and operating effectively. The engagement partner should consider

a. the results of the firm's monitoring process as evidenced in the latest information circulated to the engagement partner by the firm and, if applicable, other network firms and

b. whether deficiencies noted in that information may affect the audit engagement. (Ref: par. .A33–.A35)

Documentation

.25 The auditor should include in the audit documentation the following:[6] (Ref: par. .A36)

a. Issues identified with respect to compliance with relevant ethical requirements and how they were resolved

b. Conclusions on compliance with independence requirements that apply to the audit engagement and any relevant discussions with the firm that support these conclusions

c. Conclusions reached regarding the acceptance and continuance of client relationships and audit engagements

d. The nature and scope of, and conclusions resulting from, consultations undertaken during the course of the audit engagement (Ref: par. .A37)

.26 The engagement quality control reviewer should document, for the audit engagement reviewed

a. that the procedures required by the firm's policies on engagement quality control review have been performed;

b. the date that the engagement quality control review was completed; and

[6] Paragraphs .08–.12 and .A8 of section 230, *Audit Documentation*.

c. that the reviewer is not aware of any unresolved matters that would cause the reviewer to believe that the significant judgments that the engagement team made and the conclusions it reached were not appropriate.

Application and Other Explanatory Material

System of Quality Control and the Role of the Engagement Teams (Ref: par. .03)

.A1 QM section 10A addresses the firm's responsibilities to establish and maintain its system of quality control for audit engagements. The system of quality control includes policies and procedures that address each of the following elements:

- Leadership responsibilities for quality within the firm
- Relevant ethical requirements
- Acceptance and continuance of client relationships and specific engagements
- Human resources
- Engagement performance
- Monitoring

Reliance on the Firm's System of Quality Control (Ref: par. .05)

.A2 Unless information provided by the firm or other parties suggests otherwise, the engagement team may rely on the firm's system of quality control regarding, for example

- competence of personnel through their recruitment and formal training.
- independence through the accumulation and communication of relevant independence information.
- maintenance of client relationships through acceptance and continuance systems.
- adherence to applicable legal and regulatory requirements through the monitoring process.

Leadership Responsibilities for Quality on Audits (Ref: par. .10)

.A3 The engagement partner's actions and communications with the other members of the engagement team demonstrate responsibility for the overall quality on each audit engagement when they emphasize

a. the importance to audit quality of
    i. performing work that complies with professional standards and applicable legal and regulatory requirements;

ii. complying with the firm's applicable quality control policies and procedures;

iii. issuing auditor's reports that are appropriate in the circumstances; and

iv. the engagement team's ability to raise concerns without fear of reprisals and

b. the fact that quality is essential in performing audit engagements.

Relevant Ethical Requirements

Compliance With Relevant Ethical Requirements (Ref: par. .11)

.A4 The AICPA Code of Professional Conduct establishes the fundamental principles of professional ethics, which include the following:

- Responsibilities
- The public interest
- Integrity
- Objectivity and independence
- Due care

Threats to Independence (Ref: par. .13)

.A5 The engagement team may identify a threat to independence regarding the audit engagement that safeguards may not be able to eliminate or reduce to an acceptable level. In that case, as required by paragraph .13*c*, the engagement partner reports to the relevant person(s) within the firm to determine appropriate action, which may include eliminating the activity or interest that creates the threat or withdrawing from the audit engagement when withdrawal is possible under applicable law or regulation.

Considerations Specific to Governmental Entities

.A6 Law or regulation may provide safeguards for the independence of governmental audit organizations and the auditors employed by them. However, in the absence of law or regulation, governmental audit organizations may establish supplemental safeguards to assist the auditor or audit organization in maintaining independence. Additionally, when law or regulation does not permit withdrawal from the engagement, the auditor may disclose in the auditor's report the circumstances affecting the auditor's independence.

Acceptance and Continuance of Client Relationships and Audit Engagements (Ref: par. .14)

.A7 QM section 10A requires the firm to obtain information considered necessary in the circumstances before accepting an engagement with a new client, when deciding whether to continue an existing engagement, and when considering acceptance of a new engagement with an existing client.[7] Information such as the following assists the engagement partner in determining whether the conclusions reached regarding the acceptance and continuance of client relationships and audit engagements are appropriate:

- The integrity of the principal owners, key management, and those charged with governance of the entity
- Whether the engagement team is competent to perform the audit engagement and has the necessary capabilities, including time and resources
- Whether the firm and the engagement team can comply with relevant ethical requirements
- Significant findings or issues that have arisen during the current or previous audit engagement and their implications for continuing the relationship

Considerations Specific to Governmental Entities (Ref: par. .14–.15)

.A8 For some governmental entities, auditors may be appointed in accordance with law or regulation, and the auditor may not be permitted to decline or withdraw from the engagement. Accordingly, certain of the requirements and considerations regarding the acceptance and continuance of client relationships and audit engagements as set out in paragraphs .14–.15 and .A7 may not be relevant. Nonetheless, information gathered as a result of the process described may be valuable in planning the audit, performing risk assessments, and carrying out reporting responsibilities.

Assignment of Engagement Teams (Ref: par. .16)

.A9 A person with expertise in a specialized area of accounting or auditing is a member of the engagement team if that person performs audit procedures on the engagement. This applies whether that person is an employee of the firm or a nonemployee engaged by the firm. However, a person with such expertise is not a member of the engagement team if that person's involvement with the engagement is only consultation. Consultations are addressed in paragraphs .20 and .A20–.A22.

.A10 When considering the appropriate competence and capabilities expected of the engagement team as a whole, the engagement partner may take into consideration such matters as the team's

- understanding of, and practical experience with, audit engagements of a similar nature and complexity through appropriate training and participation.
- understanding of professional standards and applicable legal and regulatory requirements.
- technical expertise, including expertise with relevant IT and specialized areas of accounting or auditing.
- knowledge of relevant industries in which the entity operates.

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[7] Paragraph .27 of QM section 10A.

- ability to apply professional judgment.
- understanding of the firm's quality control policies and procedures.

Considerations Specific to Governmental Entities (Ref: par. .16)

.A11 For audits of governmental entities, competence may include skills that are necessary to comply with applicable law or regulation. Such competence may include knowledge of *Government Auditing Standards* and an understanding of the applicable reporting requirements, including reporting to the legislature or other governing body or in the public interest. The scope of a governmental audit may include, for example, additional requirements with respect to detecting misstatements that result from violations of provisions of contracts or grant agreements that could have a direct and material effect on the determination of financial statement amounts or the need to examine and report on internal control over financial reporting or compliance.

Engagement Performance

Direction, Supervision, and Performance (Ref: par. .17a)

.A12 Direction of the engagement team involves informing the members of the engagement team of matters such as the following:

- Their responsibilities, including the need to comply with relevant ethical requirements and to plan and perform an audit with professional skepticism as required by section 200, *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance With Generally Accepted Auditing Standards*[8]
- Responsibilities of respective partners when more than one partner is involved in the conduct of an audit engagement
- The objectives of the work to be performed
- The nature of the entity's business
- Risk-related issues
- Problems that may arise
- The detailed approach to the performance of the engagement

Discussion among members of the engagement team allows team members to raise questions so that appropriate communication can occur within the engagement team.

.A13 Appropriate teamwork and training assist members of the engagement team to clearly understand the objectives of the assigned work.

.A14 Supervision includes matters such as the following:

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[8] Paragraphs .16–.17 of section 200.

- Tracking the progress of the audit engagement
- Considering the competence and capabilities of individual members of the engagement team, including whether they have sufficient time to carry out their work, they understand their instructions, and the work is being carried out in accordance with the planned approach to the audit engagement
- Addressing significant findings or issues arising during the audit engagement, considering their significance, and modifying the planned approach appropriately
- Identifying matters for consultation or consideration by qualified engagement team members during the audit engagement

Review

Review Responsibilities (Ref: par. .18)

.A15 Under QM section 10A, the firm's review responsibility policies and procedures are determined on the basis that suitably experienced team members review the work of other team members.[9] The engagement partner may delegate part of the review responsibility to other members of the engagement team, in accordance with the firm's system of quality control.

.A16 A review consists of consideration of whether, for example

- the work has been performed in accordance with professional standards and applicable legal and regulatory requirements;
- significant findings or issues have been raised for further consideration;
- appropriate consultations have taken place and the resulting conclusions have been documented and implemented;
- the nature, timing, and extent of the work performed is appropriate and without need for revision;
- the work performed supports the conclusions reached and is appropriately documented;
- the evidence obtained is sufficient and appropriate to support the auditor's report; and
- the objectives of the engagement procedures have been achieved.

The Engagement Partner's Review of the Work Performed (Ref: par. .19)

.A17 Timely reviews of the following by the engagement partner at appropriate stages during the engagement allow significant findings or issues to be resolved on a timely basis to the engagement partner's satisfaction on or before the date of the auditor's report:

[9] Paragraph .36 of QM section 10A.

- Critical areas of judgment, especially those relating to difficult or contentious matters identified during the course of the engagement
- Significant risks
- Other areas that the engagement partner considers important

The engagement partner need not review all audit documentation but may do so. However, as required by section 230, *Audit Documentation*, the partner documents the extent and timing of the reviews.[10]

.A18 An engagement partner taking over an audit during the engagement may apply the review procedures as described in paragraph .A17 to review the work performed to the date of the change in order to assume the responsibilities of an engagement partner.

Considerations Relevant When a Member of the Engagement Team With Expertise in a Specialized Area of Accounting or Auditing Is Used (Ref: par. .17–.19)

.A19 When the engagement team includes a member with expertise in a specialized area of accounting or auditing, direction, supervision, and review of that engagement team member's work is the same as for any other engagement team member and may include matters such as the following:

- Agreeing with that member upon the nature, scope, and objectives of that member's work and the respective roles of, and the nature, timing, and extent of communication between, that member and other members of the engagement team
- Evaluating the adequacy of that member's work, including the relevance and reasonableness of that member's findings or conclusions and the consistency of those findings or conclusions with other audit evidence

Consultation (Ref: par. .20)

.A20 Members of the engagement team have a professional responsibility to bring to the attention of appropriate personnel matters that, in their professional judgment, are difficult or contentious and may require consultation.

.A21 Effective consultation on significant technical, ethical, and other matters within the firm or, when applicable, outside the firm can be achieved when those consulted

- are given all the relevant facts that will enable them to provide informed advice and
- have appropriate knowledge, authority, and experience.

.A22 The engagement team may consult outside the firm (for example, when the firm lacks appropriate internal resources). The engagement team may take advantage of advisory services provided by other firms, professional and regulatory bodies, or commercial organizations that provide relevant quality control services.

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[10] Paragraph .09*c* of section 230.

Engagement Quality Control Review

Completion of the Engagement Quality Control Review Before Releasing the Auditor's Report (Ref: par. .21c)

.A23 Conducting the engagement quality control review in a timely manner at appropriate stages during the engagement allows significant findings or issues to be promptly resolved to the engagement quality control reviewer's satisfaction.

.A24 *Completion of the engagement quality control review* means the completion by the engagement quality control reviewer of the requirements in paragraph .22 and, when applicable, compliance with paragraph .23. Documentation of the engagement quality control review may be completed after the report release date as part of the assembly of the final audit file. Section 230 establishes requirements and provides guidance in this regard.[11]

.A25 When the engagement quality control review is completed after the auditor's report is dated and identifies instances where additional procedures or additional evidence is necessary, the date of the report is changed to the date when the additional procedures have been satisfactorily completed or the additional evidence has been obtained, in accordance with section 700, *Forming an Opinion and Reporting on Financial Statements*, or section 703, *Forming an Opinion and Reporting on Financial Statements of Employee Benefit Plans Subject to ERISA*. [As amended, effective for audits of financial statements for periods ending on or after December 15, 2021, by SAS No. 136.]

Nature, Timing, and Extent of Engagement Quality Control Review (Ref: par. .22)

.A26 By remaining alert for changes in circumstances, the engagement partner is able to identify situations in which an engagement quality control review is necessary, even though at the start of the engagement such a review was not required.

.A27 The extent of the engagement quality control review may depend, among other things, on the complexity of the audit engagement and the risk that the auditor's report might not be appropriate in the circumstances. The performance of an engagement quality control review does not reduce the responsibilities of the engagement partner for the audit engagement and its performance.

.A28 When section 701, *Communicating Key Audit Matters in the Independent Auditor's Report*, applies, the conclusions reached by the engagement team in formulating the auditor's report include determining the following:

- The key audit matters to be communicated
- The key audit matters that will not be communicated in the auditor's report in accordance with paragraph .13 of section 701, if any
- If applicable, depending on the facts and circumstances of the entity and the audit, that there are no key audit matters to communicate in the auditor's report

[11] Paragraphs .15–.18 and .A24–.A29 of section 230.

In addition, the reading of the proposed auditor's report in accordance with paragraph .22*b* includes consideration of the proposed descriptions of the matters to be included in the "Key Audit Matters" section. [Paragraph added, effective for audits of financial statements for periods ending on or after December 15, 2021, by SAS No. 134.]

.A29 Matters relevant to evaluating the significant judgments made by the engagement team that may be considered in an engagement quality control review include the following:

- Significant risks identified during the engagement in accordance with section 315, *Understanding the Entity and Its Environment and Assessing the Risks of Material Misstatement*, and the responses to those risks in accordance with section 330, *Performing Audit Procedures in Response to Assessed Risks and Evaluating the Audit Evidence Obtained*, including the engagement team's assessment of, and response to, the risk of fraud in accordance with section 240, *Consideration of Fraud in a Financial Statement Audit*
- Judgments made, particularly with respect to materiality and significant risks
- The significance and disposition of corrected and uncorrected misstatements identified during the audit
- The matters to be communicated to management and those charged with governance and, when applicable, other parties, such as regulatory bodies

[Paragraph renumbered by the issuance of SAS No. 134, May 2019. Revised, December 2024, to reflect conforming changes necessary due to the issuance of SAS No. 145.]

.A30 The engagement quality control reviewer may also consider the following:

- The evaluation of the firm's independence with regard to the audit engagement
- Whether appropriate consultation has taken place on matters involving differences of opinion or other difficult or contentious matters and the related conclusions arising from those consultations
- Whether audit documentation selected for review reflects the work performed regarding the significant judgments and supports the conclusions reached

[Paragraph renumbered by the issuance of SAS No. 134, May 2019.]

Considerations Specific to Smaller, Less Complex Entities (Ref: par. .21–.22)

.A31 An engagement quality control review is required for audit engagements that meet the criteria established by the firm that subjects engagements to an engagement quality control review. In some cases, none of the firm's audit engagements may meet the criteria that would subject them to such a review. [Paragraph renumbered by the issuance of SAS No. 134, May 2019.]

Considerations Specific to Governmental Entities (Ref: par. .22)

.A32 A statutorily appointed auditor (for example, an auditor general or other suitably qualified person within the audit organization acting on behalf of the auditor general) may act in a role equivalent to that of engagement partner with overall responsibility for the governmental audit. In such circumstances, when applicable, the selection of the engagement quality control reviewer includes consideration of the need for independence from the audited entity and the ability of the engagement quality control reviewer to provide an objective evaluation. [Paragraph renumbered by the issuance of SAS No. 134, May 2019.]

Monitoring (Ref: par. .24)

.A33 QM section 10A requires the firm to establish a monitoring process designed to provide it with reasonable assurance that the policies and procedures relating to the system of quality control are relevant, adequate, and operating effectively.[12] [Paragraph renumbered by the issuance of SAS No. 134, May 2019.]

.A34 In considering deficiencies that may affect the audit engagement, the engagement partner may consider measures the firm took to rectify the situation that the engagement partner considers sufficient in the context of that audit. [Paragraph renumbered by the issuance of SAS No. 134, May 2019.]

.A35 A deficiency in the firm's system of quality control does not necessarily indicate that a particular audit engagement was not performed in accordance with professional standards and applicable legal and regulatory requirements or that the auditor's report was not appropriate. [Paragraph renumbered by the issuance of SAS No. 134, May 2019.]

Documentation (Ref: par. .25)

.A36 Section 230 addresses the auditor's responsibility to prepare audit documentation for an audit of financial statements. Section 230 also states that it is neither necessary nor practicable for the auditor to document every matter considered, or professional judgment made, in an audit.[13] [Paragraph renumbered by the issuance of SAS No. 134, May 2019.]

.A37 Documentation of consultations with other professionals involving difficult or contentious matters that is sufficiently complete and detailed contributes to an understanding of

- the issue on which consultation was sought and
- the results of the consultation, including any decisions made, the basis for those decisions, and how they were implemented.

[Paragraph renumbered by the issuance of SAS No. 134, May 2019.]

[12] Paragraph .52 of QM section 10A.

[13] Paragraph .A9 of section 230.

AU-C Section 230

Audit Documentation

Source: SAS No. 122; SAS No. 123; SAS No. 128; SAS No. 134; SAS No. 137; SAS No. 142; SAS No. 143; SAS No. 145; SAS No. 146.

See section 9230 for interpretations of this section.

Effective for audits of financial statements for periods ending on or after December 15, 2012, unless otherwise indicated.

Note

In March 2023, the Auditing Standards Board issued SAS No. 149, *Special Considerations — Audits of Group Financial Statements (Including the Work of Component Auditors and Audits of Referred-to Auditors)*, which contains amendments to this section.

The amendments are effective for audits of financial statements for periods ending on or after December 15, 2026, and can be viewed in appendix C of section 600 until the effective date, when they will be applied to this section.

Introduction

Scope of This Section

.01 This section addresses the auditor's responsibility to prepare audit documentation for an audit of financial statements. The exhibit, "Audit Documentation Requirements in Other AU-C Sections," lists other AU-C sections that contain specific documentation requirements and guidance. The specific documentation requirements of other AU-C sections do not limit the application of this section. Law, regulation, or other standards may establish additional documentation requirements.

Nature and Purposes of Audit Documentation

.02 Audit documentation that meets the requirements of this section and the specific documentation requirements of other relevant AU-C sections provides

a. evidence of the auditor's basis for a conclusion about the achievement of the overall objectives of the auditor;[1] and

b. evidence that the audit was planned and performed in accordance with generally accepted auditing standards (GAAS) and applicable legal and regulatory requirements.

.03 Audit documentation serves a number of additional purposes, including the following:

- Assisting the engagement team to plan and perform the audit
- Assisting members of the engagement team responsible for supervision to direct and supervise the audit work and to discharge their review responsibilities in accordance with section 220, *Quality Management for an Engagement Conducted in Accordance With Generally Accepted Auditing Standards*[2]
- Enabling the engagement team to demonstrate that it is accountable for its work by documenting the procedures performed, the audit evidence examined, and the conclusions reached
- Retaining a record of matters of continuing significance to future audits of the same entity
- Enabling the conduct of engagement quality control reviews, other types of engagement reviews, and monitoring activities under the firm's system of quality management
- Enabling the conduct of engagement quality reviews, other types of engagement reviews, and monitoring activities under the firm's system of quality management
- Assisting an auditor who reviews a predecessor auditor's audit documentation
- Assisting auditors to understand the work performed in the prior year as an aid in planning and performing the current engagement

[As amended, effective for audits of financial statements for periods beginning on or after December 15, 2025, by SAS No. 146.]

Effective Date

.04 This section is effective for audits of financial statements for periods ending on or after December 15, 2012.

Objective

.05 The objective of the auditor is to prepare documentation that provides

[1]Paragraph .12 of section 200, *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance With Generally Accepted Auditing Standards*.

[2]Paragraphs .29–.33 of section 220, *Quality Management for an Engagement Conducted in Accordance With Generally Accepted Auditing Standards*. [As amended, effective for audits of financial statements for periods beginning on or after December 15, 2025, by SAS No. 146.]

a. a sufficient and appropriate record of the basis for the auditor's report; and

b. evidence that the audit was planned and performed in accordance with GAAS and applicable legal and regulatory requirements.

Definitions

.06 For purposes of GAAS, the following terms have the meanings attributed as follows:

Audit documentation. The record of audit procedures performed, audit evidence obtained, and conclusions the auditor reached (terms such as *working papers* or *workpapers* are also sometimes used).

Audit file. One or more folders or other storage media, in physical or electronic form, containing the records that constitute the audit documentation for a specific engagement.

Documentation completion date. The date, no later than 60 days following the report release date, on which the auditor has assembled for retention a complete and final set of documentation in an audit file.

Experienced auditor. An individual (whether internal or external to the firm) who has practical audit experience, and a reasonable understanding of (Ref: par. .A1)

a. audit processes;

b. GAAS and applicable legal and regulatory requirements;

c. the business environment in which the entity operates; and

d. auditing and financial reporting issues relevant to the entity's industry.

Report release date. The date the auditor grants the entity permission to use the auditor's report in connection with the financial statements. (Ref: par. .A2)

[As amended, effective for audits of financial statements for periods ending on or after December 15, 2022, by SAS No. 142.]

Requirements

Timely Preparation of Audit Documentation

.07 The auditor should prepare audit documentation on a timely basis. (Ref: par. .A3)

Documentation of the Audit Procedures Performed and Audit Evidence Obtained

Form, Content, and Extent of Audit Documentation

.08 The auditor should prepare audit documentation that is sufficient to enable an experienced auditor, having no previous connection with the audit, to understand (Ref: par. .A4–.A7 and .A19–.A20)

a. the nature, timing, and extent of the audit procedures performed to comply with GAAS and applicable legal and regulatory requirements; (Ref: par. .A8–.A9)

b. the results of the audit procedures performed, and the audit evidence obtained; and

c. significant findings or issues arising during the audit, the conclusions reached thereon, and significant professional judgments made in reaching those conclusions. (Ref: par. .A10–.A13)

.09 In documenting the nature, timing, and extent of audit procedures performed, the auditor should record

a. the identifying characteristics of the specific items or matters tested; (Ref: par. .A14)

b. who performed the audit work and the date such work was completed; and

c. who reviewed the audit work performed and the date and extent of such review. (Ref: par. .A15)

.10 For audit procedures related to the inspection of significant contracts or agreements, the auditor should include abstracts or copies of those contracts or agreements in the audit documentation.

.11 The auditor should document discussions of significant findings or issues with management, those charged with governance, and others, including the nature of the significant findings or issues discussed, and when and with whom the discussions took place. (Ref: par. .A16)

.12 If the auditor identified information that is inconsistent with the auditor's final conclusion regarding a significant finding or issue, the auditor should document how the auditor addressed the inconsistency. (Ref: par. .A17–.A18)

Departure From a Relevant Requirement

.13 If, in rare circumstances, the auditor judges it necessary to depart from a relevant presumptively mandatory requirement,[3] the auditor must document the justification for the departure and how the alternative audit procedures performed in the circumstances were sufficient to achieve the intent of that requirement. (Ref: par. .A21–.A22)

[3] Paragraph .26 of section 200.

Matters Arising After the Date of the Auditor's Report

.14 If, in rare circumstances, the auditor performs new or additional audit procedures or draws new conclusions after the date of the auditor's report, the auditor should document (Ref: par. .A23)

a. the circumstances encountered;

b. the new or additional audit procedures performed, audit evidence obtained, and conclusions reached, and their effect on the auditor's report; and

c. when and by whom the resulting changes to audit documentation were made and reviewed.

Assembly and Retention of the Final Audit File

.15 The auditor should document the report release date in the audit documentation.

.16 The auditor should assemble the audit documentation in an audit file and complete the administrative process of assembling the final audit file on a timely basis, no later than 60 days following the report release date. (Ref: par. .A24–.A26)

.17 After the documentation completion date, the auditor should not delete or discard audit documentation of any nature before the end of the specified retention period. Such retention period, however, should not be shorter than five years from the report release date. (Ref: par. .A27–.A29)

.18 In circumstances other than those addressed in paragraph .14 in which the auditor finds it necessary to modify existing audit documentation or add new audit documentation after the documentation completion date, the auditor should, regardless of the nature of the modifications or additions, document (Ref: par. .A28)

a. the specific reasons for making the changes; and

b. when and by whom they were made and reviewed.

.19 The auditor should adopt reasonable procedures to maintain the confidentiality of client information.

Application and Other Explanatory Material

Definitions (Ref: par. .06)

Experienced Auditor

.A1 Having practical audit experience means possessing the competencies and skills that would have enabled the auditor to perform the audit but does not mean that the auditor is required to have performed comparable audits.

Report Release Date

.A2 In many cases, the report release date will be the date the auditor delivers the audit report to the entity. When there are delays in releasing the report, a fact may become known to the auditor that, had it been known to the auditor at the date of the auditor's report, may have caused the auditor to revise the auditor's report. Section 560, *Subsequent Events and Subsequently Discovered Facts*, addresses the auditor's responsibilities in such circumstances, and paragraph .14 addresses the documentation requirements in the rare circumstances in which the auditor performs new or additional audit procedures or draws new conclusions after the date of the auditor's report.

Timely Preparation of Audit Documentation (Ref: par. .07)

.A3 Preparing sufficient and appropriate audit documentation on a timely basis throughout the audit helps to enhance the quality of the audit and facilitates the effective review and evaluation of the audit evidence obtained and conclusions reached before the auditor's report is finalized. Documentation prepared at the time such work is performed or shortly thereafter is likely to be more accurate than documentation prepared at a much later time.

Documentation of the Audit Procedures Performed and Audit Evidence Obtained

Form, Content, and Extent of Audit Documentation (Ref: par. .08)

.A4 The form, content, and extent of audit documentation depend on factors such as

- the size and complexity of the entity.
- the nature of the audit procedures to be performed.
- the identified risks of material misstatement.
- the significance of the audit evidence obtained.
- the nature and extent of exceptions identified.
- the need to document a conclusion or the basis for a conclusion not readily determinable from the documentation of the work performed or audit evidence obtained.
- the audit methodology and tools used.
- the extent of judgment involved in performing the work and evaluating the results.

.A5 Audit documentation may be recorded on paper or on electronic or other media. QM section 10A addresses a firm's responsibility to establish procedures designed to maintain the integrity, accessibility, and retrievability of documentation; for example, when original paper documentation is electronically scanned or otherwise copied to another media for inclusion in the audit file.[4] Examples of audit documentation include the following:

- Audit plans[5]
- Analyses
- Issues memorandums
- Summaries of significant findings or issues
- Letters of confirmation and representation
- Checklists
- Correspondence (including e-mail) concerning significant findings or issues

.A6 The auditor need not include in audit documentation superseded drafts of working papers and financial statements, notes that reflect incomplete or preliminary thinking, previous copies of documents corrected for typographical or other errors, and duplicates of documents.

.A7 On their own, oral explanations by the auditor do not represent adequate support for the work the auditor performed or conclusions the auditor reached, but may be used to explain or clarify information contained in the audit documentation.

Documentation of Compliance With GAAS (Ref: par. .08a)

.A8 In principle, compliance with the requirements of this section will result in the audit documentation being sufficient and appropriate in the circumstances. Other AU-C sections contain specific documentation requirements that are intended to clarify the application of this section in the particular circumstances of those other AU-C sections. The specific documentation requirements of other AU-C sections do not limit the application of this section. Furthermore, the absence of a documentation requirement in any particular AU-C section is not intended to suggest that there is no documentation that will be prepared as a result of complying with that AU-C section.

.A9 Audit documentation provides evidence that the audit complies with GAAS. However, it is neither necessary nor practicable for the auditor to document every matter considered, or professional judgment made, in an audit. Further, it is unnecessary for the auditor to document separately (as in a checklist, for example) compliance with matters for which compliance is demonstrated by documents included within the audit file. For example:

- The existence of an adequately documented audit plan demonstrates that the auditor has planned the audit.
- The existence of a signed engagement letter in the audit file demonstrates that the auditor has agreed to the terms of the audit engagement with management or, when appropriate, those charged with governance.

[4]Paragraph .A58 of QM section 10A, *A Firm's System of Quality Control*.

[5]Paragraphs .07–.11 of section 300, *Planning an Audit*.

- An auditor's report containing an appropriately qualified opinion on the financial statements demonstrates that the auditor has complied with the requirement to express a qualified opinion under the circumstances in accordance with GAAS.
- Regarding requirements that apply generally throughout the audit, there may be a number of ways in which compliance with them may be demonstrated within the audit file:
  - For example, there may be no single way in which the auditor's professional skepticism is documented. But the audit documentation may nevertheless provide evidence of the auditor's exercise of professional skepticism in accordance with GAAS, for example, in relation to accounting estimates, when the audit evidence obtained includes evidence that both corroborates and contradicts management's assertions, documenting how the auditor evaluated that evidence, including the professional judgments made in forming a conclusion about the sufficiency and appropriateness of the audit evidence obtained.
  - Similarly, that the engagement partner has taken responsibility for the direction and supervision the engagement team and review of their work[6] may be evidenced in a number of ways within the audit documentation. This may include documentation that evidences the engagement partner's sufficient and appropriate involvement in the audit, such as participation in engagement team discussions.[7]

[As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 143. As amended, effective for audits of financial statements for periods beginning on or after December 15, 2025, by SAS No. 146.]

Documentation of Significant Findings or Issues and Related Significant Professional Judgments (Ref: par. .08c)

.A10 Judging the significance of a finding or issue requires an objective analysis of the facts and circumstances. Examples of significant findings or issues include

- matters involving the selection, application, and consistency of significant accounting practices, including related disclosures. Such matters include, but are not limited to (*a*) accounting for complex or unusual transactions or (*b*) accounting estimates and uncertainties and, if applicable, the related management assumptions.
- matters that give rise to significant risks (as defined in section 315).[8]
- results of audit procedures (including identification of corrected and uncorrected misstatements)[9] indicating (*a*) that the financial statements could be materially

[6]Paragraph .29 of section 220. [Footnote added, effective for audits of financial statements for periods beginning on or after December 15, 2025, by SAS No. 146.]

[7][Footnote renumbered and deleted by the issuance of SAS No. 146, June 2022.]

[8]Paragraphs .28–.30 of section 315. [Footnote renumbered by the issuance of SAS No. 146, June 2022.]

misstated or (*b*) a need to revise the auditor's previous assessment of the risks of material misstatement and the auditor's responses to those risks.

- circumstances that cause the auditor significant difficulty in applying necessary audit procedures.
- findings that could result in a modification to the audit opinion or the inclusion of an emphasis-of-matter paragraph in the auditor's report.

.A11 An important factor in determining the form, content, and extent of audit documentation of significant findings or issues is the extent of professional judgment exercised in performing the work and evaluating the results. Documentation of the professional judgments made, when significant, serves to explain the auditor's conclusions and to reinforce the quality of the judgment. Such findings or issues are of particular interest to those responsible for reviewing audit documentation, including those carrying out subsequent audits when reviewing items of continuing significance (for example, when performing a retrospective review of accounting estimates).

.A12 Some examples of circumstances in which, in accordance with paragraph .08, it is appropriate to prepare audit documentation relating to the exercise of professional judgment include, when the findings, issues, and judgments are significant,

- the rationale for the auditor's conclusion when a requirement provides that the auditor *should consider* certain information or factors, and that consideration is significant in the context of the particular engagement.
- the basis for the auditor's conclusion on the reasonableness of areas of subjective judgments made by management.
- the basis for the auditor's evaluation of whether an accounting estimate and related disclosures are reasonable in the context of the applicable financial reporting framework or are misstated.
- the basis for the auditor's conclusions about the authenticity of a document when further investigation (such as making appropriate use of a specialist or of confirmation procedures) is undertaken in response to conditions identified during the audit that caused the auditor to believe that the document may not be authentic.
- when section 701, *Communicating Key Audit Matters in the Independent Auditor's Report*, applies, the auditor's determination of the key audit matters or the determination that there are no key audit matters to be communicated, including in the extremely rare circumstances in which the auditor determines that the matter should not be communicated in the auditor's report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

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[9] See section 450, *Evaluation of Misstatements Identified During the Audit*. [Footnote renumbered by the issuance of SAS No. 146, June 2022.]

[As amended, effective for audits of financial statements for periods ending on or after December 15, 2021, by SAS No. 134. As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 143.]

.A13 The auditor may consider it helpful to prepare and retain as part of the audit documentation a summary (sometimes known as a completion memorandum) that describes the significant findings or issues identified during the audit and how they were addressed, or that includes cross-references to other relevant supporting audit documentation that provides such information. Such a summary may facilitate effective and efficient reviews and inspections of the audit documentation, particularly for large and complex audits. Further, the preparation of such a summary may assist the auditor's consideration of the significant findings or issues. It may also help the auditor to consider whether, in light of the audit procedures performed and conclusions reached, there is any individual relevant AU-C section objective that the auditor cannot achieve that would prevent the auditor from achieving the overall objectives of the auditor.

Identification of Specific Items or Matters Tested and of the Preparer and the Reviewer (Ref: par. .09)

.A14 Recording the identifying characteristics serves a number of purposes. For example, it improves the ability of the auditor to supervise and review the work performed and thus demonstrates the accountability of the engagement team for its work and facilitates the investigation of exceptions or inconsistencies. Identifying characteristics will vary with the nature of the audit procedure and the item or matter tested. For example:

- For a detailed test of entity-generated purchase orders, the auditor may identify the documents selected for testing by their dates and unique purchase order numbers.
- For a procedure requiring selection or review of all items over a specific amount from a given population, the auditor may record the scope of the procedure and identify the population (for example, all journal entries over a specified amount from the journal register for the period being audited).
- For a procedure requiring systematic sampling from a population of documents, the auditor may identify the documents selected by recording their source, the starting point, and the sampling interval (for example, a systematic sample of shipping reports selected from the shipping log for the period from April 1 to September 30, starting with report number 12345 and selecting every 125th report).
- For a procedure requiring inquiries of specific entity personnel, the auditor may record the inquiries made, the dates of the inquiries, and the names and job designations of the entity personnel.
- For an observation procedure, the auditor may record the process or matter being observed, the relevant individuals, their respective responsibilities, and where and when the observation was carried out.

.A15 Section 220 contains requirements and guidance on the review of audit documentation.[10] The requirement to document who reviewed the audit work performed and the extent of the review, in accordance with the firm's policies and procedures addressing review responsibilities does not imply a need for each specific working paper to include evidence of review. The requirement, however, means documenting what audit work was reviewed, who reviewed such work, and when it was reviewed. [As amended, effective for audits of financial statements for periods beginning on or after December 15, 2025, by SAS No. 146.]

Documentation of Discussions of Significant Findings or Issues With Management, Those Charged With Governance, and Others (Ref: par. .11)

.A16 The audit documentation is not limited to documents prepared by the auditor but may include other appropriate documents such as minutes of meetings prepared by the entity's personnel and recognized by the auditor as an appropriate summary of the meeting. Others with whom the auditor may discuss significant findings or issues may include other personnel within the entity, and external parties, such as persons providing professional advice to the entity.

Documentation of How Inconsistencies Have Been Addressed (Ref: par. .12)

.A17 The requirement to document how the auditor addressed inconsistencies in information does not imply that the auditor needs to retain documentation that is incorrect or superseded.

.A18 The documentation of the inconsistency may include, but is not limited to, procedures performed in response to the information, and documentation of consultations on, or resolutions of, differences in professional judgment among members of the engagement team or between the engagement team and others consulted.

Considerations Specific to Smaller, Less Complex Entities (Ref: par. .08)

.A19 The audit documentation for the audit of a smaller, less complex entity is generally less extensive than that for the audit of a larger, more complex entity. Further, in the case of an audit in which the engagement partner performs all the audit work, the documentation will not include matters that might have to be documented solely to inform or instruct members of an engagement team, or to provide evidence of review by other members of the team (for example, there will be no matters to document relating to team discussions or supervision). Nevertheless, the engagement partner complies with the overriding requirement in paragraph .08 to prepare audit documentation that can be understood by an experienced auditor, as the audit documentation may be subject to review by external parties for regulatory or other purposes.

.A20 When preparing audit documentation, the auditor of a smaller, less complex entity may also find it helpful and efficient to record various aspects of the audit together in a single document, with cross-references to supporting working papers as appropriate. Examples of matters that may be documented together in the audit of a smaller, less complex entity include the understanding of the entity and its environment, the applicable

[10] Paragraph .31 of section 220. [Footnote amended and renumbered by the issuance of SAS No. 146, June 2022.]

financial reporting framework, and the entity's system of internal control; the overall audit strategy and audit plan; materiality; assessed risks, significant findings or issues noted during the audit; and conclusions reached. [As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 145.]

Departure From a Relevant Requirement (Ref: par. .13)

.A21 The requirements of GAAS are designed to enable the auditor to achieve the objectives specified in GAAS, and thereby the overall objectives of the auditor. Accordingly, other than in rare circumstances, GAAS call for compliance with each requirement that is relevant in the circumstances of the audit.

.A22 The documentation requirement applies only to requirements that are relevant in the circumstances. A requirement is not relevant[11] only in the cases in which

a. the AU-C section is not relevant (for example, if an entity does not have an internal audit function, nothing in section 610, *Using the Work of Internal Auditors*, is relevant); or

b. the requirement is conditional and the condition does not exist (for example, the requirement to modify the auditor's opinion when there is an inability to obtain sufficient appropriate audit evidence, and there is no such inability).

[As amended, effective for audits of financial statements for periods ending on or after December 15, 2014, by SAS No. 128.]

Matters Arising After the Date of the Auditor's Report (Ref: par. .14)

.A23 Examples of rare circumstances in which the auditor performs new or additional audit procedures or draws new conclusions after the date of the auditor's report include

- when, after the date of the auditor's report, the auditor becomes aware of facts that existed at that date and which, if known at that date, might have caused the financial statements to be revised or the auditor to modify the opinion in the auditor's report.[12]
- when the auditor concludes that procedures necessary at the time of the audit, in the circumstances then existing, were omitted from the audit of the financial information.[13]

The resulting changes to the audit documentation are reviewed in accordance with the firm's procedures under its system of quality management. [As amended, effective for audits of financial statements for periods beginning on or after December 15, 2025, by SAS No. 146.]

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[11]Paragraph .24 of section 200. [Footnote renumbered by the issuance of SAS No. 146, June 2022.]

[12]Paragraphs .12 and .15 of section 560, *Subsequent Events and Subsequently Discovered Facts*. [Footnote renumbered by the issuance of SAS No. 146, June 2022.]

[13]Paragraph .07 of section 585, *Consideration of Omitted Procedures After the Report Release Date*. [Footnote renumbered by the issuance of SAS No. 146, June 2022.]

Assembly and Retention of the Final Audit File (Ref: par. .16–.18)

.A24 Statutes, regulations, or the audit firm's policies or procedures under its system of quality management may specify a period of time shorter than 60 days following the report release date in which this assembly process is to be completed. [As amended, effective for audits of financial statements for periods beginning on or after December 15, 2025, by SAS No. 146.]

.A25 Certain matters, such as auditor independence and staff training, which are not engagement specific, may be documented either centrally within a firm or in the audit documentation for an audit engagement.

.A26 The completion of the assembly of the final audit file after the date of the auditor's report is an administrative process that does not involve the performance of new audit procedures or the drawing of new conclusions. Changes may, however, be made to the audit documentation during the final assembly process if they are administrative in nature. Examples of such changes include

- deleting or discarding superseded documentation.
- sorting, collating, and cross-referencing working papers.
- signing off on completion checklists relating to the file assembly process.
- documenting audit evidence that the auditor has obtained, discussed, and agreed with the relevant members of the engagement team before the date of the auditor's report.
- adding information received after the date of the auditor's report; for example, an original confirmation that was previously communicated electronically.

.A27 Statutes, regulations, or the audit firm's policies or procedures under its system of quality management may specify a retention period longer than five years.[14] [As amended, effective for audits of financial statements for periods beginning on or after December 15, 2025, by SAS No. 146.]

.A28 An example of a circumstance in which the auditor may find it necessary to modify existing audit documentation or add new audit documentation after file assembly has been completed is the need to clarify existing audit documentation arising from comments received during monitoring activities or external inspections. [As amended, effective for audits of financial statements for periods beginning on or after December 15, 2025, by SAS No. 146.]

.A29 Audit documentation is the property of the auditor, and some states recognize this right of ownership in their statutes. The auditor may make available to the entity at the auditor's discretion copies of the audit documentation, provided such disclosure does not undermine the effectiveness and integrity of the audit process.

[14] [Footnote renumbered and deleted by the issuance of SAS No. 146, June 2022.]

Exhibit — Audit Documentation Requirements in Other AU-C Sections

.A30 The following lists the main paragraphs in other AU-C sections that contain specific documentation requirements. This list is not a substitute for knowledge of the AU-C sections:

a. Paragraphs .10, .15–.16, and .19 of section 210, *Terms of Engagement*

b. Paragraphs .25–.26 of section 220A, *Quality Control for an Engagement Conducted in Accordance With Generally Accepted Auditing Standards*

c. Paragraphs .43–.46 of section 240, *Consideration of Fraud in a Financial Statement Audit*

d. Paragraph .28 of section 250, *Consideration of Laws and Regulations in an Audit of Financial Statements*

e. Paragraph .20 of section 260, *The Auditor's Communication With Those Charged With Governance*

f. Paragraph .12 of section 265, *Communicating Internal Control Related Matters Identified in an Audit*

g. Paragraph .14 of section 300, *Planning an Audit*

h. Paragraph .33 of section 315, *Understanding the Entity and Its Environment and Assessing the Risks of Material Misstatement*

i. Paragraph .14 of section 320, *Materiality in Planning and Performing an Audit*

j. Paragraphs .30–.33 of section 330, *Performing Audit Procedures in Response to Assessed Risks and Evaluating the Audit Evidence Obtained*

k. Paragraph .12 of section 450, *Evaluation of Misstatements Identified During the Audit*

l. Paragraph .20 of section 501, *Audit Evidence — Specific Considerations for Selected Items*

m. Paragraph .08 of section 520, *Analytical Procedures*

n. Paragraph .38 of section 540, *Auditing Accounting Estimates and Related Disclosures*

o. Paragraph .28 of section 550, *Related Parties*

p. Paragraph .22 of section 570, *The Auditor's Consideration of an Entity's Ability to Continue as a Going Concern*

q. Paragraphs .49 and .64 of section 600A, *Special Considerations — Audits of Group Financial Statements (Including the Work of Component Auditors)*

r. Paragraphs .33–.35 of section 610, *Using the Work of Internal Auditors*

s. Paragraph .17 of section 701, *Communicating Key Audit Matters in the Independent Auditor's Report*

t. Paragraph .26 of section 720, *The Auditor's Responsibilities Relating to Other Information Included in Annual Reports*

u. Paragraph .13 of section 915, *Reports on Application of Requirements of an Applicable Financial Reporting Framework*

v. Paragraphs .42–.43 of section 930, *Interim Financial Information*

w. Paragraphs .39–.42 of section 935, *Compliance Audits*

[Revised, August 2012, to reflect conforming changes necessary due to the issuance of SAS No. 126. As amended, effective for audits of financial statements for periods ending on or after December 15, 2021, by SAS No. 134. As amended, effective for audits of financial statements for periods ending on or after December 15, 2021, by SAS No. 137. As amended, effective for audits of financial statements for periods ending on or after December 15, 2023, by SAS No. 143. Revised, December 2024, to reflect conforming changes necessary due to the issuance of SAS No. 147.]

AU-C Section 9230

Audit Documentation: Auditing Interpretations of Section 230

1. Providing Access to or Copies of Audit Documentation to a Regulator[1,2]

.01 *Question*—Paragraph .19 of section 230, *Audit Documentation*, states that "the auditor should adopt reasonable procedures to maintain the confidentiality of client information." However, auditors are sometimes required by law, regulation, or audit contract[3] to provide a regulator, or a duly appointed representative, access to audit documentation. For example, a regulator may request access to the audit documentation to fulfill a quality review requirement or to assist in establishing the scope of a regulatory examination. Furthermore, as part of the regulator's review of the audit documentation, the regulator may request copies of all or selected portions of the audit documentation during or after the review. The regulator may intend, or decide, to make copies (or information derived from the audit documentation) available to others, including other governmental agencies, for their particular purposes, with or without the knowledge of the auditor or the client. When a regulator requests the auditor to provide access to (and possibly copies of) audit documentation pursuant to law, regulation, or audit contract, what steps may the auditor take?

.02 *Interpretation*—When a regulator requests access to audit documentation pursuant to law, regulation, or audit contract, the auditor may take the following steps:

a. Consider advising the client that the regulator has requested access to (and possibly copies of) the audit documentation and that the auditor intends to comply with such request.[4]

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[1]The term *regulator(s)* includes federal, state, and local government officials with legal oversight authority over the entity. Examples of regulators who may request access to audit documentation include, but are not limited to, state insurance and utility regulators, various health care authorities, and federal agencies such as the Federal Deposit Insurance Corporation, the Department of Housing and Urban Development, the Department of Labor, and the Rural Electrification Administration.

[2]The guidance in this interpretation does not apply to requests from the IRS, firm practice-monitoring programs to comply with AICPA or state professional requirements such as peer or quality reviews, proceedings relating to alleged ethics violations, or subpoenas.

[3]Paragraphs .11–.15 of this interpretation address situations in which the auditor is not required by law, regulation, or audit contract to provide a regulator access to the audit documentation.

[4]The auditor may wish (and in some cases may be required by law, regulation, or audit contract) to confirm in writing with the client that the auditor may be required to provide a regulator access to the audit documentation. Sample language that may be used follows:

b. Make appropriate arrangements with the regulator for the review.

c. Maintain control over the audit documentation, and

d. Consider submitting the letter described in paragraph .05 of this interpretation to the regulator.

.03 Making appropriate arrangements with the regulator may include establishing the specific details such as the date, time, and location of the review. The audit documentation may be made available to a regulator at the offices of the client, the auditor, or a mutually agreed-upon location. However, maintaining control of audit documentation is necessary in order for the auditor to maintain the integrity of the audit documentation and the confidentiality of client information. For example, the auditor (or the auditor's representative) may be present when the audit documentation is reviewed by the regulator.

.04 Ordinarily, the auditor may not agree to transfer ownership of the audit documentation to a regulator. Furthermore, the auditor may not agree, without client authorization, that the information contained therein about the client may be communicated to or made available to any other party. In this regard, the action of an auditor providing access to, or copies of, the audit documentation shall not constitute transfer of ownership or authorization to make them available to any other party.

.05 An audit performed in accordance with generally accepted auditing standards is not intended to, and does not, satisfy a regulator's oversight responsibilities. To avoid any misunderstanding, prior to allowing a regulator access to the audit documentation, the auditor may submit a letter to the regulator that

a. sets forth the auditor's understanding of the purpose for which access is being requested;

b. describes the audit process and the limitations inherent in a financial statement audit;

c. explains the purpose for which the audit documentation was prepared, and that any individual conclusions must be read in the context of the auditor's report on the financial statements;

d. states, except when not applicable, that the audit was not planned or conducted in contemplation of the purpose for which access is being granted or to assess the entity's compliance with laws and regulations;

The audit documentation for this engagement is the property of [*name of auditor*] and constitutes confidential information. However, we may be requested to make certain audit documentation available to [*name of regulator*] pursuant to authority given to it by law or regulation. If requested, access to such audit documentation will be provided under the supervision of [*name of auditor*] personnel. Furthermore, upon request, we may provide copies of selected audit documentation to [*name of regulator*]. The [*name of regulator*] may intend, or decide, to distribute the copies or information contained therein to others, including other governmental agencies.

e. states that the audit and the audit documentation should not supplant other inquiries and procedures that should be undertaken by the regulator for its purposes;

f. requests confidential treatment under the Freedom of Information Act or similar laws and regulations,[5] when a request for the audit documentation is made, and that written notice be given to the auditor before transmitting any information contained in the audit documentation to others, including other governmental agencies, except when such transfer is required by law or regulation; and

g. states that if any copies are to be provided, they will be identified as "Confidential Treatment Requested by [*name of auditor, address, telephone number*]."

The auditor may obtain a signed acknowledgment copy of the letter as evidence of the regulator's receipt of the letter.

.06 An example of a letter containing the elements described in paragraph .05 of this interpretation is presented as follows:

[5] The auditor may need to consult the regulations of individual agencies and, if necessary, consult with legal counsel regarding the specific procedures and requirements necessary to gain confidential treatment.

Illustrative Letter to Regulator[6]

[*Date*]

[*Name and Address of Regulatory Agency*]

Your representatives have requested access to our audit documentation in connection with our audit of the December 31, 20XX, financial statements of [*name of client*]. It is our understanding that the purpose of your request is [*state purpose: for example, "to facilitate your regulatory examination"*].[7]

Our audit of [*name of client*] December 31, 20XX, financial statements was conducted in accordance with auditing standards generally accepted in the United States of America,[8] the objective[9] of which is to form an opinion as to whether the financial statements, which are the responsibility and representations of management, present fairly, in all material respects, the financial position, results of operations, and cash flows in conformity with generally accepted accounting principles.[10] Under generally accepted auditing standards, we have the responsibility, within the inherent limitations of the auditing process, to design our audit to provide reasonable assurance that errors and fraud that have a material effect on the financial statements will be detected, and to exercise due care in the conduct of our audit. The concept of selective testing of the data being audited, which involves judgment both as to the number of transactions to be audited and as to the areas to be tested, has been generally accepted as a valid and sufficient basis for an auditor to express an opinion on financial statements. Thus, our audit, based on the concept of selective testing, is subject to the inherent risk that material errors or fraud, if they exist, would not be detected. In addition, an audit does not address the possibility that material errors or fraud may occur in the future. Also, our use of professional judgment and the assessment of materiality for the purpose of our audit means that matters may have existed that would have been assessed differently by you.

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[6]This letter may be modified appropriately when the audit has been performed in accordance with generally accepted auditing standards and also in accordance with additional auditing requirements specified by a regulatory agency (for example, the requirements specified in *Government Auditing Standards* issued by the Comptroller General of the United States).

[7]If the auditor is not required by law, regulation, or audit contract to provide a regulator access to the audit documentation but otherwise intends to provide such access (see paragraphs .11–.15 of this interpretation), the letter may include a statement that "Management of [*name of client*] has authorized us to provide you access to our audit documentation for [*state purpose*]."

[8]See footnote 6.

[9]In an audit performed in accordance with the Single Audit Act of 1984, the Single Audit Act Amendments of 1996, and certain other federal audit requirements, an additional objective of the audit is to assess compliance with laws and regulations applicable to federal financial assistance. Accordingly, in these situations, the illustrative letter provided in this interpretation may be modified to include the additional objective.

[10]If the financial statements have been prepared in conformity with regulatory accounting practices, the phrase "financial position, results of operations, and cash flows in conformity with generally accepted accounting principles" may be replaced with appropriate wording such as, in the case of an insurance company, the "admitted assets, liabilities ... of the XYZ Insurance Company in conformity with accounting practices prescribed or permitted by the state of ... insurance department."

The audit documentation was prepared for the purpose of providing a sufficient and appropriate record of the basis for our report on [*name of client*] December 31, 20XX, financial statements and to aid in the conduct and supervision of our audit. The audit documentation is the principal record of auditing procedures performed, evidence obtained, and conclusions reached in the engagement. The auditing procedures that we performed were limited to those we considered necessary under generally accepted auditing standards[11] to enable us to formulate and express an opinion on the financial statements[12] taken as a whole. Accordingly, we make no representation as to the sufficiency or appropriateness, for your purposes, of either the information contained in our audit documentation or our auditing procedures. In addition, any notations, comments, and individual conclusions appearing on any of the audit documents do not stand alone, and should not be read as an opinion on any individual amounts, accounts, balances or transactions.

Our audit of [*name of client*] December 31, 20XX, financial statements was performed for the purpose stated above and has not been planned or conducted in contemplation of your [*state purpose: for example, "regulatory examination"*] or for the purpose of assessing [*name of client*] compliance with laws and regulations.[13] Therefore, items of possible interest to you may not have been specifically addressed. Accordingly, our audit and the audit documentation prepared in connection therewith, should not supplant other inquiries and procedures that should be undertaken by the [*name of regulatory agency*] for the purpose of monitoring and regulating the financial affairs of the [*name of client*]. In addition, we have not audited any financial statements of [*name of client*] since [*date of audited balance sheet referred to in the first paragraph above*] nor have we performed any auditing procedures since [*date*], the date of our auditor's report, and significant events or circumstances may have occurred since that date.

The audit documentation constitutes and reflects work performed or evidence obtained by [*name of auditor*] in its capacity as independent auditor for [*name of client*]. The documents contain trade secrets and confidential commercial and financial information of our firm and [*name of client*] that is privileged and confidential, and we expressly reserve all rights with respect to disclosures to third parties. Accordingly, we request confidential treatment under the Freedom of Information Act or similar laws and regulations[14] when requests are made for the audit documentation or information contained therein or any documents created by the [*name of regulatory agency*] containing information derived therefrom. We further request that written notice be given to our firm before distribution of the information in the audit documentation (or copies thereof) to others, including other governmental agencies, except when such distribution is required by law or regulation.

[*If it is expected that copies will be requested, add:*

[11]See footnote 6.

[12]See footnote 9.

[13]See footnote 9.

[14]This illustrative paragraph may not in and of itself be sufficient to gain confidential treatment under the rules and regulations of certain regulatory agencies. The auditor may tailor this paragraph to the circumstances after consulting the regulations of each applicable regulatory agency and, if necessary, may consult with legal counsel regarding the specific procedures and requirements to gain confidential treatment.

Any copies of our audit documentation we agree to provide you will be identified as "Confidential Treatment Requested by [*name of auditor, address, telephone number*]."]

[*Firm signature*]

.07 *Question*—A regulator may request access to the audit documentation before the audit has been completed and the report released. May the auditor allow access in such circumstances?

.08 *Interpretation*—When the audit has not been completed, the audit documentation is necessarily incomplete because (*a*) additional information may be added as a result of further tests and review by supervisory personnel and (*b*) any audit results and conclusions reflected in the incomplete audit documentation may change. Accordingly, it is preferable that access be delayed until all auditing procedures have been completed and all internal reviews have been performed. If access is provided prior to completion of the audit, the auditor may issue the letter referred to in paragraph .05 of this interpretation, appropriately modified, and including additional language along the following lines:

We have been engaged to audit in accordance with auditing standards generally accepted in the United States of America the December 31, 20XX, financial statements of XYZ Company, but have not as yet completed our audit. Accordingly, at this time we do not express any opinion on the Company's financial statements. Furthermore, the contents of the audit documentation may change as a result of additional auditing procedures and review of the audit documentation by supervisory personnel of our firm. Accordingly, our audit documentation is incomplete.

Because the audit documentation may change prior to completion of the audit, it is preferable that the auditor not provide copies of the audit documentation until the audit has been completed.

.09 *Question*—Some regulators may engage an independent party, such as another independent public accountant, to perform the audit documentation review on behalf of the regulatory agency. Are there any special precautions the auditor may observe in these circumstances?

.10 *Interpretation*—The auditor may obtain acknowledgment, preferably in writing, from the regulator stating that the third party is acting on behalf of the regulator and agreement from the third party that he or she is subject to the same restrictions on disclosure and use of audit documentation and the information contained therein as the regulator.

.11 *Question*—When a regulator requests the auditor to provide access to (and possibly copies of) audit documentation and the auditor is not otherwise required by law, regulation, or audit contract to provide such access, what steps may the auditor take?

.12 *Interpretation*—The auditor may obtain an understanding of the reasons for the regulator's request for access to the audit documentation and may consider consulting with legal counsel regarding the request. If the auditor decides to provide such access, reasonable procedures to maintain the confidentiality of client information include obtaining the client's consent, preferably in writing, to provide the regulator access to the audit documentation.

.13 Following is an example of language that may be used in the written communication to the client:

> The audit documentation for this engagement is the property of [*name of auditor*] and constitutes confidential information. However, we have been requested to make certain audit documentation available to [*name of regulator*] for [*describe the regulator's basis for its request*]. Access to such audit documentation will be provided under the supervision of [*name of auditor*] personnel. Furthermore, upon request, we may provide copies of selected audit documentation to [*name of regulator*].
>
> You have authorized [*name of auditor*] to allow [*name of regulator*] access to the audit documentation in the manner discussed above. Please confirm your agreement to the above by signing below and returning to [*name of auditor, address*].
>
> [*Firm signature*]
>
> Agreed and acknowledged:
>
> [*Name and title*]
>
> [*Date*]

.14 If the client requests to review the audit documentation before allowing the regulator access, the auditor may provide the client with the opportunity to obtain an understanding of the nature of the information about its financial statements contained in the audit documentation that is being made available to the regulator. When a client reviews the audit documentation, the need to maintain control of the audit documentation is as discussed in paragraph .03 of this interpretation.

.15 The guidance in paragraphs .03–.10 of this interpretation, which provide guidance on making arrangements with the regulator for access to the audit documentation, maintaining control over the audit documentation, and submitting a letter describing various matters to the regulator, is also applicable.

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